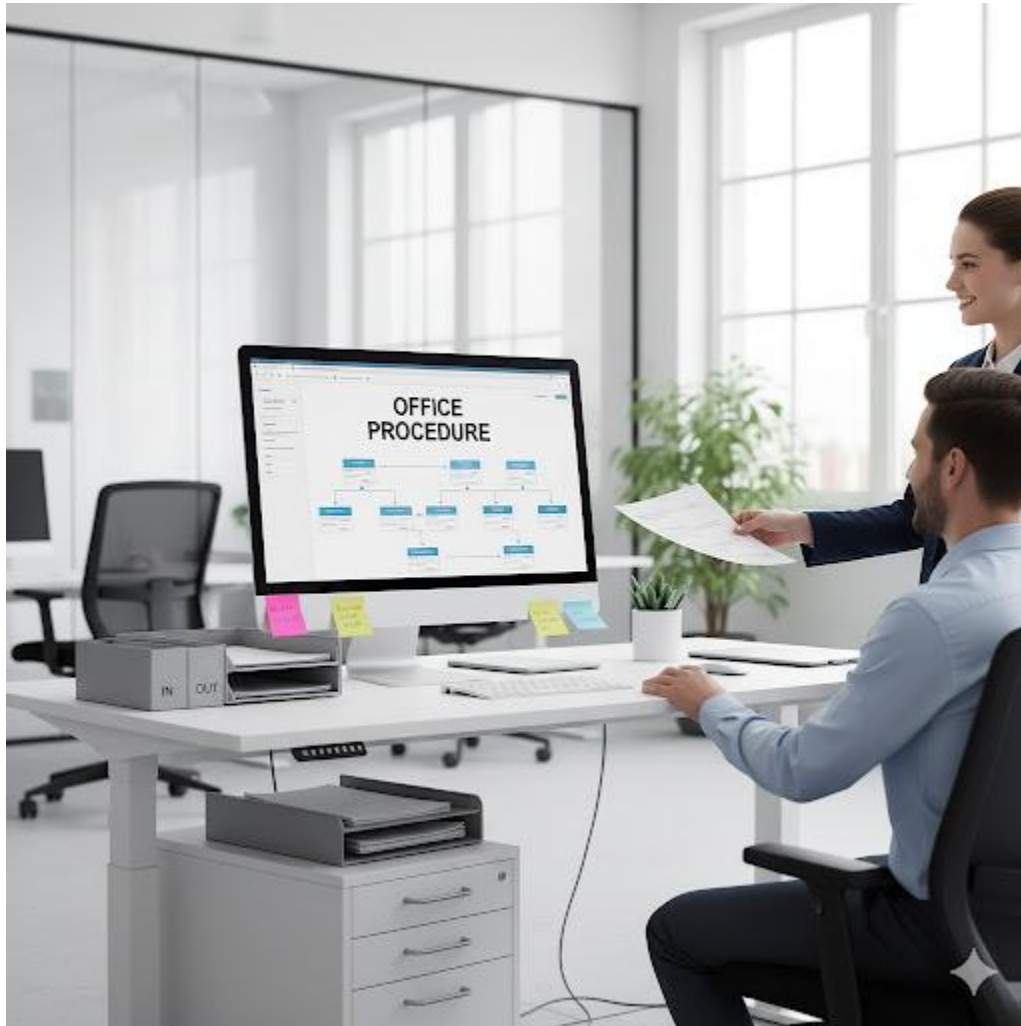


JSS 3 BUSINESS STUDIES LESSON NOTES

FIRST TERM

Week	Topic	Content
1	Effective Office Practice	Meaning of office procedure; importance of office procedure.
2	Office Procedure (Part 1)	Procedures for making payments; preparation of sales and purchases documents.
3	Office Procedure (Part 2)	Imprest account: meaning, features, advantages.
4	Store Records	Meaning of store records; delivery note; gate pass.
5	Midterm Examination	—
6	Stocktaking	Meaning of stocktaking; importance of stocktaking in business.
7	Midterm Break	—
8	Office Equipment (Part 1)	Meaning of office equipment; types of office equipment.
9	Office Equipment (Part 2)	Care of office equipment; advantages and disadvantages.
10	Commerce – The Heart of Business	Nature of commerce as the center of business activities.
11	Revision	Weeks 1–10 topics.
12	Examination	—
13	Closing	—

WEEK 1: EFFECTIVE OFFICE PRACTICE



Effective office practice is essential for the **smooth operation of any organization**. It involves the implementation of **well-structured office procedures, systems, and routines** that ensure work is carried out efficiently and professionally. Understanding office procedures helps students appreciate the importance of **organization, discipline, and communication** in business environments.

MEANING OF OFFICE PROCEDURE:

- Office procedure refers to the **established methods and steps** used to handle office tasks and activities in an organized manner.

- It includes **record-keeping, correspondence handling, filing, communication, and coordination** of office functions.
- Office procedures are guided by **rules, regulations, and standards** that promote efficiency and accountability.

Key points:

- Procedures ensure that tasks are completed in the **correct sequence**.
- They provide a **reference framework** for new employees and minimize errors.
- Office procedures can be formal (documented) or informal (practices followed routinely).

IMPORTANCE OF OFFICE PROCEDURE:

Proper office procedures are vital for the following reasons:

- **Efficiency and Productivity:**
 - Ensures that work is done **systematically and promptly**, reducing wastage of time and resources.
- **Consistency:**
 - Standardized procedures ensure **uniformity in operations**, allowing predictable and reliable results.
- **Accountability:**
 - Clear procedures help in **tracking responsibilities**, making it easier to identify errors or lapses.
- **Improved Communication:**
 - Structured office procedures facilitate **effective flow of information** within and outside the organization.
- **Professionalism:**
 - Demonstrates **discipline, orderliness, and reliability**, which enhance the organization's reputation.
- **Record Keeping and Documentation:**

- Proper filing, documentation, and reporting ensure that important information is **accessible for future reference**.
- **Decision-Making:**
 - Organized procedures provide **accurate information**, which aids management in making informed decisions.

EVALUATION:

1. Define office procedure in your own words.
2. List four reasons why office procedures are important in an organization.
3. Explain how office procedures improve communication within a business.
4. State two ways office procedures promote accountability.

ASSIGNMENT:

1. Write a short essay (200 words) on how effective office procedures contribute to the smooth running of a business.
2. Prepare a chart showing at least five common office procedures and their purposes.
3. Describe in two paragraphs how consistency in office procedures can enhance professionalism and efficiency in the workplace.

WEEK 2: OFFICE PROCEDURE (PART 1)

Procedures for making payments; preparation of sales and purchases documents



INTRODUCTION

- An office procedure is a **step-by-step method** adopted in business organizations to carry out activities in an orderly and efficient manner.
- Proper office procedures are important in ensuring **accuracy, accountability, and transparency** in business transactions.
- Two important aspects of office procedure are:
 1. **Procedures for making payments.**

2. Preparation of sales and purchases documents.

PROCEDURES FOR MAKING PAYMENTS

Payments in business are made either in **cash** or through **non-cash methods**. The procedure ensures that money paid is recorded properly and acknowledged.

A. CASH PAYMENTS

- Steps in cash payments:
 1. The cashier prepares a **payment voucher** stating amount, purpose, and payee.
 2. The voucher is authorized by a superior officer or manager.
 3. Cash is paid to the beneficiary.
 4. The payee signs the voucher or receipt to acknowledge payment.
 5. The transaction is recorded in the **cashbook**.

B. NON-CASH PAYMENTS

1. **By Cheque** – A cheque is written and signed by the account holder to authorize payment.
 - Steps: writing the cheque → signing → presenting to bank → beneficiary cashes or deposits it.
2. **Bank Draft / Bank Transfer** – Payment is made through the bank directly.
3. **Electronic Payments** – Using POS, online transfer, mobile banking, etc.

Importance of Proper Payment Procedures:

- Prevents fraud and financial mismanagement.
- Ensures accountability and proper record keeping.
- Helps in auditing and financial control.
- Builds trust between buyer and seller.

PREPARATION OF SALES AND PURCHASES DOCUMENTS

In business, when goods are sold or bought, certain documents are prepared to record the transaction. These documents ensure **proof, accountability, and accuracy**.

A. SALES DOCUMENTS

1. **Invoice** – Sent by the seller to the buyer showing details of goods sold, quantity, unit price, total cost, discounts, etc.
2. **Receipt** – Issued by the seller to the buyer as evidence that payment has been made.
3. **Delivery Note** – Accompanies goods delivered, showing details of items delivered.
4. **Proforma Invoice** – A quotation given to the buyer before goods are supplied.
5. **Credit Note** – Issued by the seller when goods are returned or an overcharge is corrected.
6. **Debit Note** – Issued to notify a buyer of undercharge or additional payment required.

B. PURCHASE DOCUMENTS

1. **Purchase Order** – Sent by the buyer to the seller, requesting for goods.
2. **Goods Received Note (GRN)** – Prepared by the buyer to confirm receipt of goods.
3. **Payment Voucher** – Used when payment is being made.
4. **Statement of Account** – A summary of transactions sent by the seller to the buyer over a period.

STEPS IN PREPARING SALES AND PURCHASE DOCUMENTS:

- Ensure correct details of buyer and seller (names, addresses).
- Indicate date of transaction.
- Record correct description of goods (quantity, unit price, total).
- Ensure documents are signed by authorized persons.

- File copies systematically for future reference.

IMPORTANCE OF SALES AND PURCHASE DOCUMENTS

- Serve as legal evidence of transactions.
- Help in keeping accurate financial records.
- Facilitate auditing and accountability.
- Prevent disputes between buyer and seller.
- Ensure transparency in business transactions.

EVALUATION

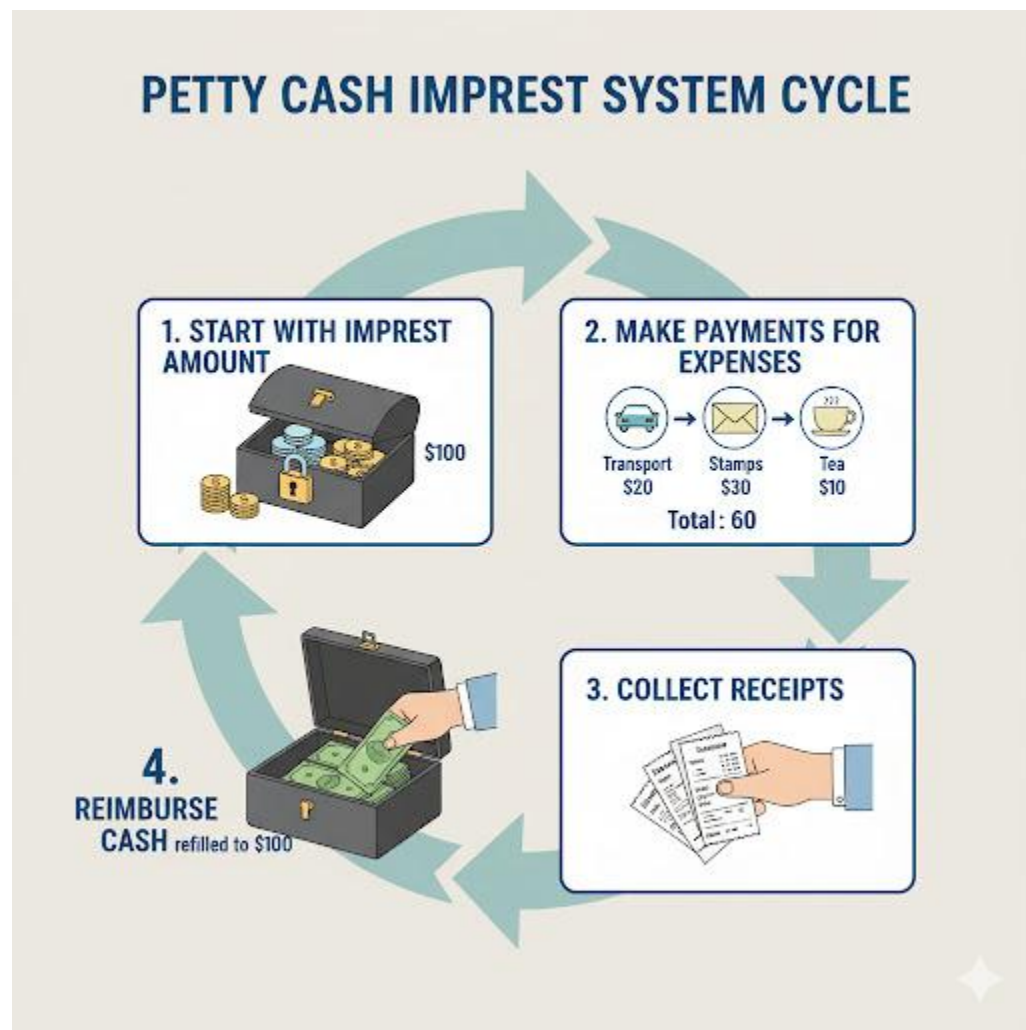
1. Explain the procedure for making cash payments in an office.
2. Differentiate between a debit note and a credit note.
3. State three reasons why business documents are important.
4. Mention four examples of sales documents and four examples of purchase documents.

ASSIGNMENT

1. List and explain the five main documents used in sales transactions.
2. Write out the step-by-step procedure for making payments by cheque.
3. State five reasons why proper office procedures in payment and documentation are important in business operations.

WEEK 3: OFFICE PROCEDURE (PART 2)

Imprest account – meaning, features, advantages



MEANING OF IMPREST ACCOUNT

- An **Imprest Account** is a type of **petty cash system** used in offices to take care of small, day-to-day expenses.
- It is a method where a fixed sum of money (called the *float*) is given to the petty cashier at the beginning of a period (weekly, monthly, etc.).
- The petty cashier spends from this amount on minor expenses like buying stamps, tea, pencils, transport fares, cleaning materials, etc.

- At the end of the period, the cashier is reimbursed (refunded) the exact amount spent so that the account returns to the original fixed balance.

Example:

If the imprest is ₦20,000 and the petty cashier spends ₦5,000 on transport and office supplies, he/she will be refunded ₦5,000 so that the balance returns to ₦20,000.

This system ensures accountability, control, and proper management of petty cash in an office.

FEATURES OF AN IMPREST ACCOUNT

1. **Fixed Sum (Float):** A definite amount of money is set aside at the beginning of the period.
2. **Petty Cashier:** A petty cashier is appointed to manage and record petty cash expenses.
3. **Small/Minor Payments:** It is used only for small, everyday expenses, not major payments.
4. **Reimbursement:** At the end of the period, the petty cashier is reimbursed for the exact amount spent.
5. **Petty Cash Book:** All transactions are recorded in a petty cash book for accountability.
6. **Controlled by Main Cashier/Accountant:** The main cashier supervises the petty cashier to avoid misuse.
7. **Return to Original Balance:** After reimbursement, the balance always returns to the original imprest amount.
8. **Use of Vouchers:** Petty cash vouchers are used as evidence for every expense made.

ADVANTAGES OF AN IMPREST ACCOUNT

1. **Easy Control of Cash** – Since the amount is fixed and small, it is easy to monitor and control.

2. **Reduces Workload of Main Cashier** – The petty cashier handles minor payments, leaving the main cashier to focus on bigger transactions.
3. **Promotes Accountability** – Every expense must be supported by vouchers and receipts, making it difficult to misuse funds.
4. **Saves Time** – Minor payments are quickly made without disturbing the main cashier.
5. **Prevents Excessive Spending** – Since the float is fixed, it prevents careless or excessive spending.
6. **Simple to Operate** – The system is straightforward and easy for petty cashiers to manage.
7. **Helps in Budgeting** – Records from the petty cash book provide information for planning future expenses.
8. **Transparency** – It ensures openness, as all petty expenses are properly documented.

EVALUATION

1. What is an imprest account?
2. List five features of an imprest account.
3. State four advantages of using an imprest account in an office.
4. Who is a petty cashier, and what is his/her role in an imprest system?
5. Explain why reimbursement is necessary in an imprest system.

ASSIGNMENT

1. Define an imprest account and explain, with an example, how it operates.
2. Identify and explain six features of an imprest account.
3. Discuss five advantages of using an imprest system in an office.

WEEK 4: STORE RECORDS

Meaning of store records; delivery note; gate pass



MEANING OF STORE RECORDS

- **Store records** are written or electronic documents used to record details of all goods and materials received, issued, or kept in a store.
- They provide accurate information about the quantity, type, value, and movement of goods in and out of a store.
- Store records help management monitor stock levels, prevent shortages, losses, or theft, and ensure accountability.

- They are maintained by the **storekeeper** or **store manager** in every business organization.
- Examples of store records include stock cards, bin cards, goods received notes, delivery notes, and gate passes.

IMPORTANCE OF STORE RECORDS

1. **Stock Control:** Helps track and control inventory levels to avoid overstocking or stockouts.
2. **Accountability:** Provides evidence of transactions and makes staff responsible for items in their care.
3. **Prevention of Fraud and Theft:** Reduces pilfering through accurate documentation.
4. **Decision-Making:** Helps management plan purchases, production, and sales.
5. **Audit and Verification:** Makes auditing easy as every stock movement is recorded.
6. **Cost Control:** Helps organizations know the cost of stock, manage resources efficiently, and avoid wastage.
7. **Efficient Operations:** Ensures smooth running of the store and timely supply of goods.

DELIVERY NOTE

- A **delivery note** is a document sent by a supplier to a buyer that lists the goods being delivered.
- It is used to confirm that items delivered match the purchase order.
- Delivery notes do not include prices but only quantities and descriptions.
- The buyer checks and signs the delivery note as proof that goods were received in good condition.

Features of a Delivery Note:

1. Name and address of the supplier and buyer.

2. Date of delivery.
3. Description of goods supplied.
4. Quantity of goods supplied.
5. Signature of the recipient to confirm receipt.
6. Delivery note number for easy tracking.

Uses of a Delivery Note:

- Serves as proof of delivery.
- Helps update store records.
- Aids in reconciling orders with supplies.
- Acts as evidence in case of disputes.

GATE PASS

- A **gate pass** is a written authorization for goods to be moved out of or into a business premises.
- It ensures that only authorized goods enter or leave an organization's premises, thereby preventing theft.
- Gate passes are usually issued by the storekeeper or security department and signed by a superior officer.

Types of Gate Passes:

1. **Goods Outward Gate Pass:** Issued when goods are leaving the premises, e.g., for sales or repairs.
2. **Goods Inward Gate Pass:** Issued when goods are entering the premises, e.g., deliveries from suppliers.

Contents of a Gate Pass:

- Date and time of movement.
- Description of goods.
- Quantity of goods.
- Name of person moving the goods.
- Signature of authorized personnel.

Uses of a Gate Pass:

- Monitors movement of goods.
- Prevents theft and unauthorized removal of stock.
- Assists in maintaining accurate store records.
- Acts as evidence during auditing and investigations.

RELATIONSHIP BETWEEN STORE RECORDS, DELIVERY NOTE, AND GATE PASS

- Store records track all stock movement while delivery notes confirm items supplied by vendors.
- Gate passes provide security control and authorization for goods moving in or out.
- Together, they ensure efficient store management, accountability, and security.

EVALUATION

1. Define store records.
2. Mention four reasons why store records are important.
3. Explain the meaning of a delivery note and state three of its uses.
4. State the difference between a delivery note and a gate pass.

5. List the types of gate passes and explain their functions.

ASSIGNMENT

1. Draw and label a simple format of a delivery note and a gate pass.
2. Write out five functions of a storekeeper in relation to store records.
3. List six store documents other than a delivery note and gate pass, and briefly explain their functions.



WEEK 6: STOCKTAKING

Meaning of stocktaking; importance of stocktaking in business



MEANING OF STOCKTAKING

Stocktaking is the process of physically counting, recording, and valuing all the goods or items a business has in its store, shop, or warehouse at a particular time. It involves checking the actual quantity of goods in stock against the records in the books of account or stock register.

It is usually carried out periodically—either daily, weekly, monthly, quarterly, or annually—depending on the size of the business. In many businesses, stocktaking is done at the end of the financial year to prepare final accounts.

Stocktaking is not just about counting; it is also about verifying the condition, quality, and value of the goods available in the store.

IMPORTANCE OF STOCKTAKING IN BUSINESS

Stocktaking is very important to the growth and survival of any business. The major importance includes the following:

- 1. Helps to know the actual quantity of goods in stock**

Stocktaking enables the business owner or manager to know the exact amount of goods remaining in the store. This helps in planning for replenishment and prevents overstocking or understocking.

- 2. Prevents theft and fraud**

Regular stocktaking discourages dishonest workers from stealing goods or engaging in fraudulent practices since they know that stock records are checked against physical counts.

- 3. Helps in detecting damaged or expired goods**

During stocktaking, the business can identify goods that are damaged, expired, or obsolete. This prevents losses and helps in replacing them with new stock.

- 4. Ensures accurate records**

It helps to compare the physical stock with stock records in the books of account. Any differences can be corrected immediately.

- 5. Assists in preparing financial statements**

The closing stock value obtained from stocktaking is used in preparing the trading account and balance sheet at the end of the financial year.

- 6. Helps in making decisions**

Business owners can make better decisions regarding re-ordering, sales strategies, and pricing when they have accurate stock information.

7. Improves customer satisfaction

By ensuring that goods are always available and not out of stock, customers are better served, and the business maintains a good reputation.

8. Prevents overstocking and wastage

Excess stock may tie down capital or even spoil, but stocktaking ensures that the right amount of goods is maintained in the store.

9. Helps to detect errors

Errors in recording, issuing, or receiving stock can be easily detected and corrected through stocktaking.

SUMMARY

Stocktaking is the process of counting and recording the goods available in the store at a particular time. It is very important in business because it ensures accuracy of records, prevents theft and fraud, detects damaged or expired goods, and assists in decision-making and financial reporting.

EVALUATION

1. Define stocktaking in your own words.
2. State three reasons why stocktaking is carried out in business.
3. Mention three consequences of not carrying out stocktaking.
4. Explain how stocktaking helps in detecting fraud.
5. Why is stocktaking important in preparing financial statements?

ASSIGNMENT

1. List and explain five importance of stocktaking to a business enterprise.

2. Imagine you are a shopkeeper; describe the steps you will take to carry out stocktaking in your store.
3. Differentiate between daily stocktaking and annual stocktaking, and state two advantages of each.



WEEK 8: OFFICE EQUIPMENT (PART 1)



Office equipment refers to the **tools, machines, and devices used in an office to facilitate the efficient performance of tasks**. They help employees carry out duties such as communication, record-keeping, data processing, and administrative work. The use of appropriate office equipment **enhances productivity, accuracy, and organization** in any office.

MEANING OF OFFICE EQUIPMENT:

- Office equipment can be defined as **all physical tools and machines used in offices to perform specific tasks more efficiently**.

- These are different from office furniture (like chairs and desks), as equipment is directly involved in **completing office activities**.
- Examples include typewriters, computers, fax machines, calculators, telephones, photocopiers, and shredders.

TYPES OF OFFICE EQUIPMENT:

- **A. Office Machines:**

Machines used to process information or perform tasks faster than manual methods.

- **Typewriters:** For preparing written documents.
- **Computers:** For word processing, data storage, calculations, and communication.
- **Photocopiers:** To make copies of documents efficiently.
- **Fax Machines:** For transmitting documents over a telephone line.
- **Calculators:** For arithmetic operations and quick calculations.

- **B. Communication Equipment:**

Tools used to facilitate communication within and outside the office.

- **Telephones:** For voice communication.
- **Intercoms:** For internal office communication.
- **Email Systems and Internet-enabled Devices:** For electronic communication and information sharing.

- **C. Recording and Filing Equipment:**

Devices used to store, retrieve, and organize office information.

- **Filing Cabinets:** For safe storage of files and documents.
- **Shredders:** For securely destroying confidential documents.
- **Binders and Filing Trays:** For organizing papers systematically.

- **D. Miscellaneous Office Equipment:**

Equipment that supports office work but does not fall strictly under the above categories.

- **Projectors:** For presentations and meetings.
- **Laminators:** For protecting important documents.
- **Paper Cutters:** For trimming papers to size efficiently.

IMPORTANCE OF OFFICE EQUIPMENT:

- **Increases Efficiency:** Tasks are completed faster and with less effort.
- **Enhances Accuracy:** Machines such as computers and calculators reduce human error.
- **Improves Communication:** Equipment like telephones, emails, and fax machines connect offices locally and internationally.
- **Supports Record Keeping:** Filing equipment ensures documents are organized and easily retrievable.
- **Promotes Professionalism:** Use of appropriate equipment presents the office as organized and efficient.

EVALUATION:

1. Define office equipment.
2. List and describe four types of office equipment.
3. Explain the importance of office equipment in enhancing productivity.
4. Distinguish between office machines and communication equipment.

ASSIGNMENT:

1. Draw a labelled diagram of any five office equipment used in modern offices and explain their functions.

2. Prepare a table showing **types of office equipment, examples, and their uses.**
3. Write a short essay (150–200 words) on how the use of office equipment can improve the efficiency of an organization.



WEEK 9: OFFICE EQUIPMENT (PART 2)

Care of office equipment; advantages and disadvantages



CARE OF OFFICE EQUIPMENT

Proper care and maintenance of office equipment is important to ensure efficiency, long life, and reduction in cost of repairs or replacement. Some methods of care include:

1. Regular Cleaning

- Dust and dirt should be removed daily from equipment such as computers, typewriters, photocopiers, and calculators.
- Use of soft, dry cloths or recommended cleaning agents prevents damage.

2. Proper Handling

- Operators should be careful in using delicate machines like printers and computers.
- Avoid rough handling, dropping, or exposing equipment to harsh conditions.

3. Lubrication of Mechanical Equipment

- Machines with moving parts (e.g., typewriters, duplicating machines) should be oiled or greased regularly to prevent rust and wear.

4. Protection Against Power Fluctuations

- Computers, photocopiers, and other electronic gadgets should be connected to stabilizers, surge protectors, or UPS to avoid damage.

5. Safe Storage

- Equipment not in use should be properly covered or stored in safe conditions to protect from dust, moisture, or theft.

6. Regular Servicing and Repairs

- Professional technicians should service machines periodically.
- Faulty equipment must be repaired immediately to prevent further damage.

7. Proper Training of Staff

- Only trained personnel should handle complex machines like computers, projectors, and photocopiers.

8. Following Manufacturer's Instructions

- Equipment manuals should be read and instructions followed for correct usage.

ADVANTAGES OF OFFICE EQUIPMENT

- 1. Increases Efficiency** – office machines speed up work and reduce fatigue.

2. **Saves Time** – tasks like typing, photocopying, and calculations are completed faster.
3. **Accuracy** – calculators and computers reduce human errors.
4. **Reduces Cost of Labour** – fewer workers can perform more tasks with machines.
5. **Improves Record Keeping** – data can be stored safely and retrieved when needed.
6. **Enhances Communication** – telephones, fax machines, and emails make communication easier.
7. **Standardization of Work** – documents produced by machines have uniform quality.
8. **Motivates Workers** – availability of modern equipment reduces stress and increases job satisfaction.

DISADVANTAGES OF OFFICE EQUIPMENT

1. **High Cost of Purchase** – modern machines like computers and photocopiers are expensive.
2. **High Cost of Maintenance** – regular servicing and repairs require money.
3. **Unemployment** – excessive use of machines may reduce the need for manual labour.
4. **Dependency on Machines** – workers may become too reliant on machines and less skillful without them.
5. **Breakdown of Equipment** – when machines fail, work is delayed or stopped.
6. **Risk of Obsolescence** – modern technology becomes outdated quickly, requiring frequent upgrades.
7. **Need for Skilled Operators** – lack of training may limit effective usage.
8. **Electricity Dependence** – electronic machines cannot function without stable power supply.

EVALUATION

1. Explain three ways of caring for office equipment.
2. List five advantages of office equipment in the workplace.
3. State four disadvantages of office equipment.
4. Why is it necessary to train staff before using office equipment?
5. Mention two ways of protecting electronic equipment from damage.

ASSIGNMENT

1. List and explain six ways of caring for office equipment.
2. State five advantages and five disadvantages of using office equipment in an office.
3. Discuss four consequences of not maintaining office equipment properly.



WEEK 10: COMMERCE – THE HEART OF BUSINESS

Commerce is often described as the **heart of business** because it is the **central activity around which all other business operations revolve**. While business involves production, finance, marketing, and management, commerce links these activities by **ensuring goods and services are made available to consumers efficiently**.



MEANING OF COMMERCE:

- Commerce refers to **all activities involved in the distribution and exchange of goods and services from producers to consumers**.
- It includes buying, selling, transportation, storage, insurance, and banking activities that facilitate trade.

- Commerce does not produce goods but **enables their movement from production to consumption.**

NATURE OF COMMERCE AS THE CENTER OF BUSINESS ACTIVITIES:

- **Central Role in Trade:**

Commerce connects producers and consumers, making it **the central link in the business chain.** Without commerce, products cannot reach the market.

- **Facilitates Exchange of Goods and Services:**

Commerce involves **buying and selling**, ensuring that goods produced are sold and that consumers can access what they need.

- **Involves Auxiliary Services:**

To function effectively, commerce relies on **transportation, warehousing, banking, insurance, and advertising**, which support the main trade activities.

- **Encourages Specialization and Division of Labour:**

By enabling goods to reach different markets, commerce allows producers to **focus on production**, while traders specialize in distribution.

- **Promotes Economic Growth:**

Efficient commerce stimulates production, generates employment, increases revenue, and contributes to the overall development of the economy.

- **Supports Consumer Satisfaction:**

Commerce ensures **timely availability of goods and services**, variety, and quality, thereby enhancing consumer welfare.

IMPORTANCE OF COMMERCE IN BUSINESS:

- Bridges the gap between producers and consumers.
- Reduces wastage of goods through effective storage and transportation.

- Stimulates industrial and agricultural production.
- Generates employment and income.
- Encourages innovation and competitive pricing.

EVALUATION:

1. Define commerce and explain why it is called the heart of business.
2. List three auxiliary services that support commerce.
3. How does commerce promote economic growth?
4. Explain the relationship between commerce and consumer satisfaction.

ASSIGNMENT:

1. Prepare a table showing **main activities of commerce, examples, and their functions.**
2. Write a short essay (200 words) explaining how commerce links production and consumption in business.
3. Draw a diagram showing the **flow of goods from producers to consumers**, including the role of commerce.

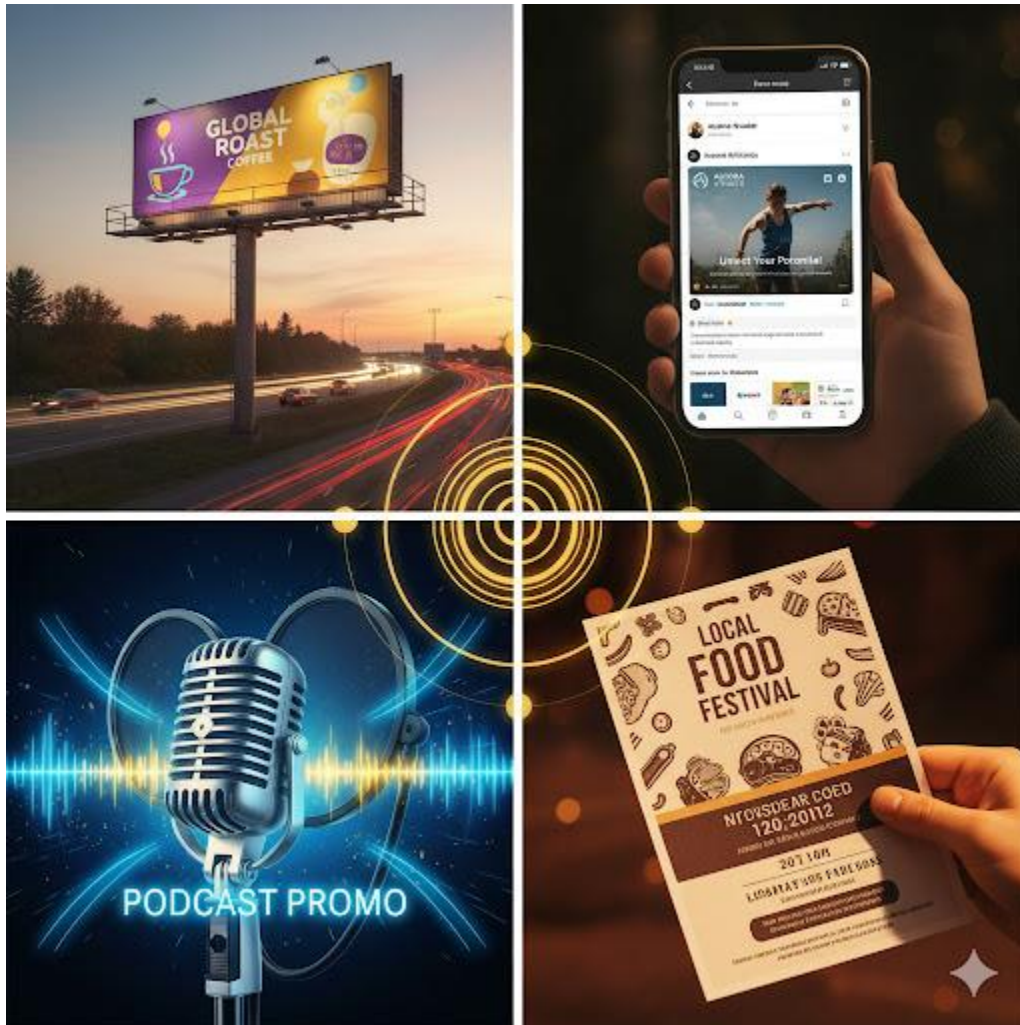
JSS 3 BUSINESS STUDIES LESSON NOTES

SECOND TERM

Week	Topic	Content
1	Advertising (Part 1)	Meaning of advertising; types of advertising.
2	Advertising (Part 2)	Functions and methods of advertising.
3	Advertising (Part 3)	Media of advertising; ethics of advertising; advertising jingles.
4	Transportation	Meaning; importance of transportation to commerce; types, advantages and disadvantages.
5	Midterm Examination	—
6	Communication (Part 1)	Meaning of communication; process of effective communication; hindrances to communication.
7	Midterm Break	—
8	Communication (Part 2)	Methods of communication; importance to business.
9	Communication (Part 3)	Agencies of communication and their services; the Internet; GSM.
10	Setting Simple Business Goals	Difference between goals and objectives; SWOT analysis; strengths, weaknesses, opportunities, threats.
11	Revision	Weeks 1–10 topics.
12	Examination	—
13	Closing	—

WEEK 1: ADVERTISING (PART 1)

Advertising is a **key aspect of business communication and marketing**. It involves **informing, persuading, and reminding potential customers** about products, services, or ideas to encourage purchase or adoption. Understanding advertising helps students appreciate how businesses **promote products, influence consumer behavior, and compete in the market**.



MEANING OF ADVERTISING:

- Advertising is the **deliberate and paid form of communication** used by businesses to inform the public about goods, services, or ideas.
- It is aimed at **creating awareness, influencing consumer choices, and increasing sales**.

- Advertising can target **existing customers, potential customers, or the general public** depending on the business strategy.

Key points:

- Advertising is **different from personal selling**, as it does not involve direct interaction with the customer.
- It is **paid for**, meaning businesses bear the cost of producing and distributing the advertisement.
- Advertising can be **informative, persuasive, or reminder-oriented** depending on its purpose.

TYPES OF ADVERTISING:

Advertising can take various forms depending on the medium and method of delivery:

- **Print Advertising:**
 - Uses **newspapers, magazines, brochures, flyers, and posters** to reach target audiences.
 - Suitable for detailed information and local or national coverage.
- **Broadcast Advertising:**
 - Uses **radio and television** to communicate messages to a wide audience.
 - Effective for visual and audio demonstration of products.
- **Outdoor Advertising:**
 - Involves **billboards, banners, signboards, and hoardings** placed in strategic locations.
 - Targets commuters and pedestrians in high-traffic areas.
- **Digital Advertising:**

- Uses **internet platforms, social media, email, and websites** to reach global audiences.
- Allows for **interactive and targeted marketing**.
- **Transit Advertising:**
 - Ads placed on **vehicles, buses, trains, or taxis** to reach mobile audiences.
- **Point-of-Sale Advertising:**
 - Displays, posters, and promotions at **shops and supermarkets** to influence buyers at the point of purchase.
- **Sponsorship and Publicity:**
 - Businesses **sponsor events or activities** to promote brand visibility and goodwill.

EVALUATION:

1. Define advertising in your own words.
2. List and briefly explain four types of advertising.
3. Explain why advertising is important for a business.
4. Mention two differences between advertising and personal selling.

ASSIGNMENT:

1. Write a short essay (200 words) on the role of advertising in promoting products and services.
2. Prepare a table showing at least five types of advertising, examples of each, and their advantages.
3. Discuss in two paragraphs how digital advertising has changed the way businesses reach consumers.

WEEK 2: ADVERTISING (PART 2)

Functions and methods of advertising



INTRODUCTION

- Advertising is the process of **creating awareness about a product, service, or idea** through various media channels with the aim of influencing people's decisions.
- It is an important element of marketing because it connects producers with consumers.
- In this lesson, we will focus on:
 1. **Functions of advertising.**
 2. **Methods of advertising.**

FUNCTIONS OF ADVERTISING

Advertising performs several functions in business and society:

1. **Creates Awareness** – Makes people know about the existence of a product or service.
2. **Promotes Sales** – Stimulates demand by persuading customers to buy more.
3. **Introduces New Products** – Helps to launch new goods or services into the market.
4. **Educates Consumers** – Informs customers about the use, quality, and benefits of products.
5. **Persuades Consumers** – Convinces people to prefer one brand over another.
6. **Builds Brand Image** – Improves the reputation of a company or product in the market.
7. **Encourages Competition** – By promoting their goods, businesses compete, leading to better products and services.
8. **Supports Mass Production** – Since advertising increases demand, companies can produce on a larger scale, reducing cost per unit.
9. **Informs About Price Changes, Discounts, and Offers** – Keeps customers updated on promotions.
10. **Economic Growth** – Contributes to national income through increased trade and commerce.

METHODS OF ADVERTISING

Advertising can be carried out through various methods depending on the target audience, nature of the product, and resources available.

A. PRINT MEDIA

- **Newspapers** – Used to advertise goods and services to a large audience.
- **Magazines** – Attractive, colorful adverts targeting specific groups (e.g., fashion, sports).
- **Posters, Handbills, Flyers** – Cheap methods for local advertising.
- **Billboards** – Large outdoor boards placed in strategic locations.

B. BROADCAST MEDIA

- **Radio** – Effective because it reaches a wide audience, even in rural areas.
- **Television** – Combines sight and sound to create a powerful impact.

C. DIGITAL / ONLINE ADVERTISING

- **Social Media** (Facebook, Instagram, TikTok, Twitter, WhatsApp) – Reaches millions at low cost.
- **Websites and Blogs** – Used for product promotion and detailed information.
- **Email and SMS Marketing** – Direct advertising to individuals.

D. OTHER METHODS

1. **Cinema Advertising** – Short adverts shown before movies.
2. **Point of Sale Display** – Products displayed attractively in shops to encourage impulse buying.
3. **Vehicle Branding** – Company logos and adverts displayed on cars, buses, or trucks.
4. **Personal Selling** – Sales representatives persuade customers directly.
5. **Trade Fairs and Exhibitions** – Companies showcase their products to attract buyers.

IMPORTANCE OF SELECTING THE RIGHT METHOD

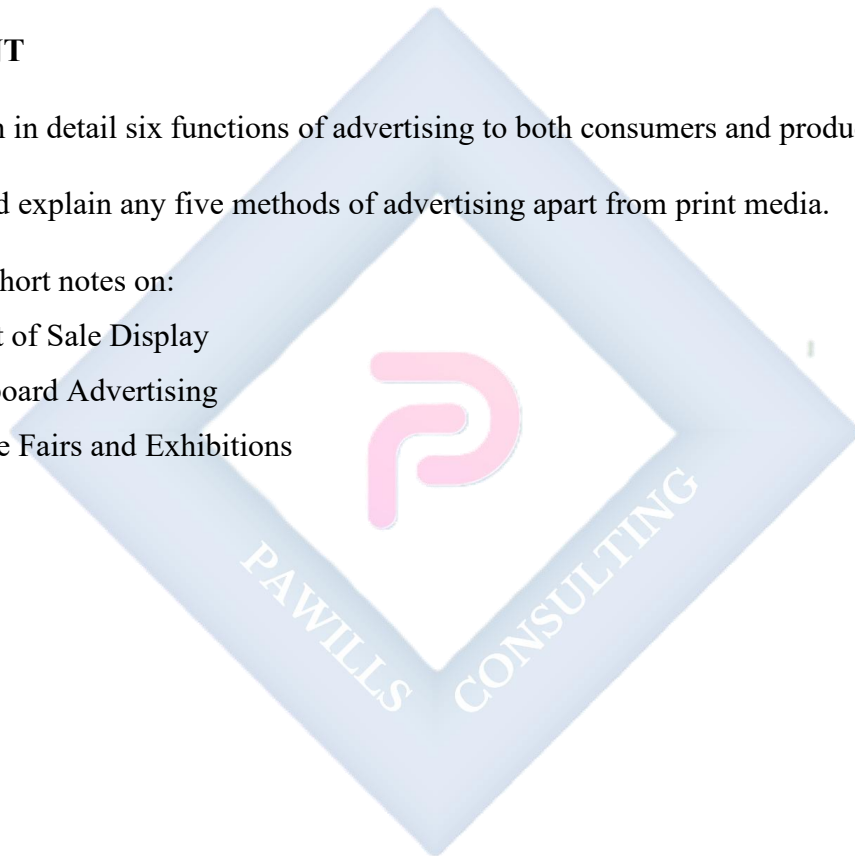
- Cost-effectiveness.
- Targeting the right audience.
- Type of product being advertised (luxury vs. necessity).
- Geographical coverage.
- Urgency of the message.

EVALUATION

1. List five functions of advertising and explain two of them.
2. Mention four methods of advertising through print media.
3. State three differences between radio advertising and online advertising.
4. Why is it important for businesses to advertise their products?

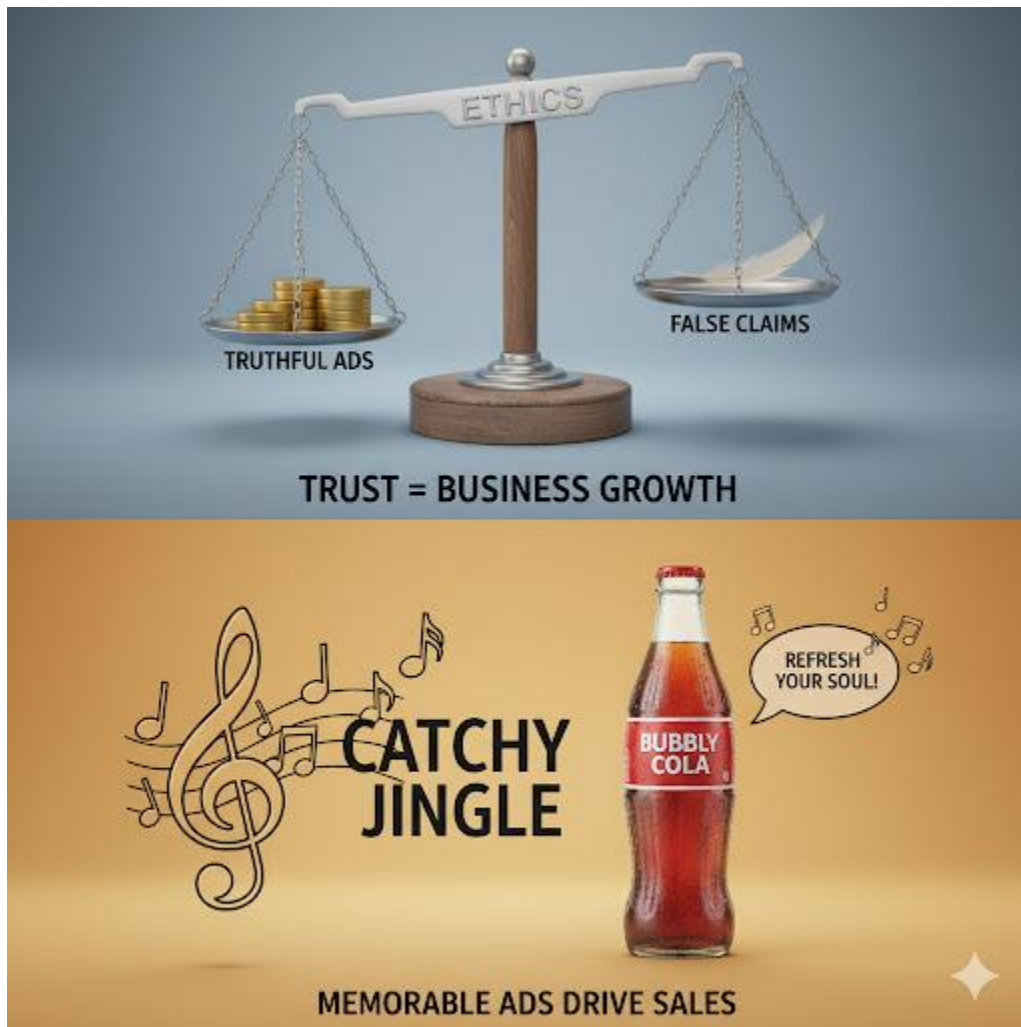
ASSIGNMENT

1. Explain in detail six functions of advertising to both consumers and producers.
2. List and explain any five methods of advertising apart from print media.
3. Write short notes on:
 - a. Point of Sale Display
 - b. Billboard Advertising
 - c. Trade Fairs and Exhibitions



WEEK 3: ADVERTISING (PART 3)

Media of advertising; ethics of advertising; advertising jingles



MEDIA OF ADVERTISING

Media of advertising refers to the various **channels or platforms** through which information about goods and services is communicated to the public. Each medium has its strengths and weaknesses.

1. PRINT MEDIA

- **Newspapers:** Reach a wide audience, especially literate people; suitable for urgent announcements, sales, and promotions.

- **Magazines:** More attractive with coloured pictures; reach specific groups (fashion, health, agriculture, etc.).
- **Posters and Handbills:** Used to reach people on the streets or in local markets.
- **Billboards and Banners:** Large displays placed at strategic locations, visible to motorists and pedestrians.

2. ELECTRONIC MEDIA

- **Radio:** Cheap and accessible to both literate and illiterate audiences; has a wide coverage.
- **Television:** Combines audio and visual effects; captures attention more effectively but is more expensive.
- **Cinema/Film:** Used to advertise before movies or shows.

3. OUTDOOR MEDIA

- Billboards, signposts, and banners displayed at busy locations.
- Vehicle branding (painting adverts on buses, taxis, or trucks).

4. DIGITAL/ONLINE MEDIA

- **Social Media:** Facebook, Instagram, Twitter (X), TikTok, YouTube.
- **Websites and Blogs:** Companies create official websites for their goods/services.
- **Email/SMS Advertising:** Sending direct messages to potential customers.

ETHICS OF ADVERTISING

Ethics of advertising are the **moral principles and standards** that guide advertisers to ensure fairness, honesty, and responsibility in their messages.

1. **Truthfulness:** Adverts must be honest and not misleading.
2. **Decency:** Adverts must not contain offensive or immoral content.
3. **Fair Competition:** Advertisers should not attack or lie against competitors.

4. **Respect for Culture and Religion:** Adverts must not mock cultural or religious beliefs.
5. **Avoidance of Exploitation:** Children, women, or vulnerable groups should not be exploited.
6. **Health and Safety Compliance:** Harmful products must not be promoted as safe.
7. **Clarity of Information:** Prices, conditions, and benefits must be clearly stated.
8. **Social Responsibility:** Adverts should not encourage violence, crime, smoking, drug abuse, or unhealthy practices.

ADVERTISING JINGLES

- A **jingle** is a short, catchy song, rhyme, or tune used in advertising to promote a product or service.
- It is usually easy to remember and creates a lasting impression in the minds of customers.
- Jingles are commonly used in **radio, television, and online adverts**.

CHARACTERISTICS OF GOOD ADVERTISING JINGLES

1. Short and simple.
2. Easy to sing or recite.
3. Catchy and memorable.
4. Highlights the main product or brand name.
5. Appeals to emotions (joy, excitement, satisfaction).
6. Encourages customers to patronise the product.

EXAMPLES

- A detergent company may use a jingle like:
“Wash brighter, wash cleaner, with Sparkle soap today!”
- A telecom company might use jingles that emphasise connection and speed.

EVALUATION

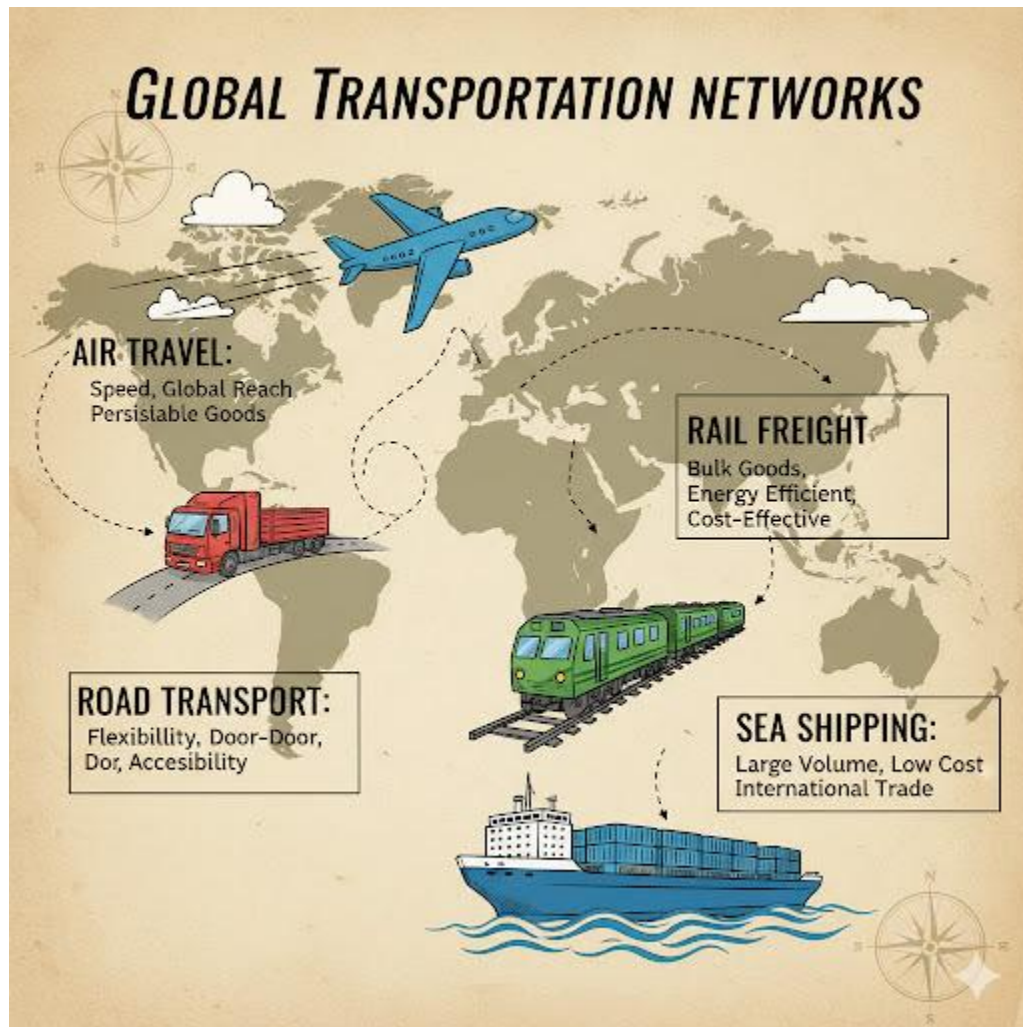
1. List and explain four media of advertising.
2. What are advertising ethics? Mention five of them.
3. Define advertising jingles and state four characteristics of a good jingle.
4. Explain two advantages and two disadvantages of using television as an advertising medium.
5. Why is honesty important in advertising?

ASSIGNMENT

1. Identify and explain five media of advertising, giving examples of products that can be advertised in each.
2. State and explain six ethics of advertising.
3. Write a short advertising jingle for any of the following:
 - a. A soft drink brand
 - b. A toothpaste
 - c. A mobile phone company

WEEK 4: TRANSPORTATION

Meaning; importance of transportation to commerce; types; advantages and disadvantages



MEANING OF TRANSPORTATION

- **Transportation** is the movement of people, goods, and services from one place to another.
- It is an essential aspect of commerce because goods must be moved from areas of production to places where they are needed for consumption or resale.
- It makes trade possible between towns, cities, regions, and countries.

- Transportation links producers and consumers, making goods available in different locations.
- It includes various means such as land, water, air, and pipeline systems.

IMPORTANCE OF TRANSPORTATION TO COMMERCE

1. **Facilitates Trade:** Enables buying and selling of goods across different areas, enhancing local, national, and international trade.
2. **Enhances Specialization:** Encourages producers to focus on specific goods or services because they can easily transport their goods to markets.
3. **Promotes Industrial Development:** Raw materials can be transported to factories, and finished products to markets, stimulating industrial growth.
4. **Encourages Regional Development:** Opens up rural and underdeveloped areas, making them accessible for economic activities.
5. **Supports International Trade:** Transportation links countries and continents, enabling import and export.
6. **Improves Standard of Living:** Makes goods and services available to people regardless of where they are produced, ensuring variety and affordability.
7. **Creates Employment Opportunities:** Provides jobs in transport industries such as airlines, shipping, railways, trucking, and logistics.
8. **Reduces Wastage:** Perishable goods can be quickly moved to markets, reducing spoilage.
9. **Strengthens National Unity:** By connecting various regions, transportation promotes cultural exchange and national integration.
10. **Attracts Investment:** Adequate transportation infrastructure encourages investors to establish businesses.

TYPES OF TRANSPORTATION

1. Land Transportation

- **Road Transport:** Uses vehicles like cars, lorries, buses, and motorbikes.
 - Suitable for short and medium distances and door-to-door delivery.
- **Rail Transport:** Uses trains and railways for moving goods and passengers over long distances.
 - Ideal for bulky goods and long-distance travel.

2. Water Transportation

- Movement of goods and passengers via rivers, seas, and oceans using ships, boats, and ferries.
- Suitable for international trade and transporting heavy, bulky goods.

3. Air Transportation

- Uses airplanes and helicopters to carry passengers and goods.
- Best for high-value, light, or perishable goods; fastest means of transport.

4. Pipeline Transportation

- Involves transporting liquids and gases like petroleum, natural gas, and water through pipelines.
- Often used for industrial purposes and in oil-producing countries.

ADVANTAGES AND DISADVANTAGES OF TRANSPORTATION TYPES

1. Road Transport

Advantages:

- Flexible and provides door-to-door services.

- Ideal for short distances and rural areas.
- Relatively cheap and easy to maintain.

Disadvantages:

- Prone to accidents and traffic congestion.
- Limited capacity for heavy goods.
- Dependent on weather conditions.

2. Rail Transport

Advantages:

- Suitable for bulky goods and long-distance travel.
- Less affected by weather conditions.
- Cost-effective for large shipments.

Disadvantages:

- Limited routes; not available in remote areas.
- Fixed schedules reduce flexibility.
- High cost of building and maintaining railway infrastructure.

3. Water Transport

Advantages:

- Cheapest for large-scale international trade.
- Suitable for bulky goods and heavy cargo.
- Environmentally friendly.

Disadvantages:

- Slow compared to air or road transport.
- Affected by weather and water levels.

- Limited to areas with navigable waters.

4. Air Transport

Advantages:

- Fastest method for long-distance movement.
- Ideal for perishable goods and emergency services.
- High level of comfort and efficiency.

Disadvantages:

- Very expensive.
- Cannot carry heavy or bulky goods.
- Weather conditions can delay flights.

5. Pipeline Transport

Advantages:

- Efficient and safe for transporting liquids and gases.
- Low running costs after installation.
- Not affected by traffic or weather.

Disadvantages:

- High cost of installation.
- Limited to specific products (liquids and gases).
- Leakages or bursts can cause environmental damage.

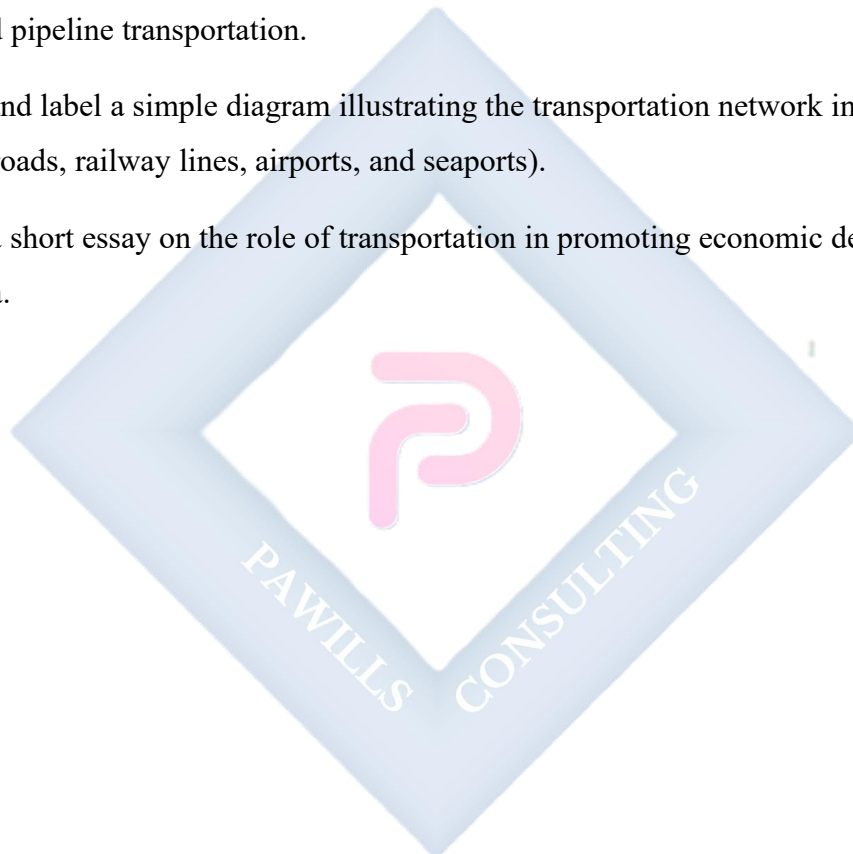
EVALUATION

1. Define transportation in commerce.
2. Explain five reasons why transportation is important to commerce.

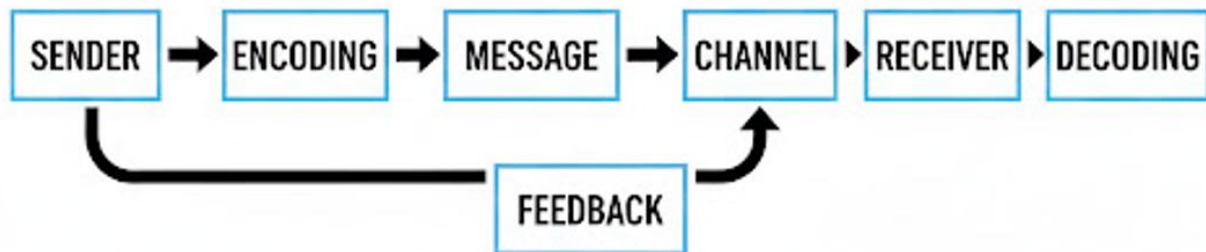
3. List and explain four types of transportation with examples.
4. Outline three advantages and three disadvantages of air transport.
5. Differentiate between road and pipeline transportation.

ASSIGNMENT

1. Create a comparative table showing the advantages and disadvantages of road, rail, water, air, and pipeline transportation.
2. Draw and label a simple diagram illustrating the transportation network in Nigeria (show major roads, railway lines, airports, and seaports).
3. Write a short essay on the role of transportation in promoting economic development in Nigeria.



WEEK 6: COMMUNICATION (PART 1)



COMMUNICATION PROCESS

Meaning of communication; process of effective communication; hindrances to communication

MEANING OF COMMUNICATION

Communication is the process of exchanging information, ideas, feelings, or instructions between two or more people in a way that the message is understood. It involves sending and receiving messages through verbal means (spoken or written words), non-verbal means (gestures, body language, facial expressions), or through electronic channels (telephone, email, radio, television, etc.).

In business, communication is very important because it helps to maintain good relationships, coordinate activities, give instructions, and achieve organizational goals. Without communication, no business or society can function properly.

Characteristics of communication:

1. It involves at least two parties: the sender and the receiver.
2. It is a two-way process involving sending and feedback.
3. It can be verbal, non-verbal, or written.

4. It requires understanding between both parties.
5. It may be formal (official) or informal (casual).

PROCESS OF EFFECTIVE COMMUNICATION

For communication to be effective, it must follow a clear process. This process is often referred to as the **communication cycle**:

1. **Sender/Communicator** – The person who has an idea or message to pass across.
2. **Message** – The information, instruction, idea, or feeling to be communicated.
3. **Encoding** – The process of putting the message into a form that can be transmitted (e.g., speech, writing, signs, pictures, or gestures).
4. **Channel/Medium** – The means by which the message is sent (e.g., face-to-face, phone call, letter, email, social media).
5. **Receiver** – The person or group who receives the message.
6. **Decoding** – The process of interpreting or understanding the message sent.
7. **Feedback** – The response from the receiver to the sender, showing that the message has been understood or needs clarification.

Effective communication only takes place when the receiver fully understands the message and provides the appropriate feedback.

HINDRANCES TO COMMUNICATION

Despite its importance, communication can be hindered by several barriers which prevent the accurate exchange of ideas. These barriers include:

1. **Language differences** – When the sender and receiver do not share a common language or use complex/technical terms that the receiver cannot understand.

2. **Poor listening** – If the receiver does not pay attention, the message may be misunderstood.
3. **Noise** – Any external distraction (e.g., loud sounds, interruptions, or background disturbances) that prevents clear communication.
4. **Distortion of message** – When a message is changed or misinterpreted as it passes through different channels.
5. **Prejudice and bias** – If the receiver has a negative attitude toward the sender, they may reject the message without proper consideration.
6. **Lack of clarity** – When the message is not clearly expressed or organized.
7. **Emotional interference** – Anger, stress, or excitement can prevent proper understanding of a message.
8. **Poor communication channels** – Using the wrong medium, such as sending a long report verbally instead of in writing.
9. **Cultural differences** – Certain gestures, words, or behaviors may mean different things in different cultures, leading to misunderstanding.
10. **Information overload** – When too much information is given at once, making it difficult for the receiver to process and understand.

SUMMARY

Communication is the process of exchanging information between people in a way that is understood. The communication process involves the sender, message, encoding, channel, receiver, decoding, and feedback. Effective communication can be hindered by language barriers, noise, poor listening, prejudice, emotional factors, and the use of wrong communication channels.

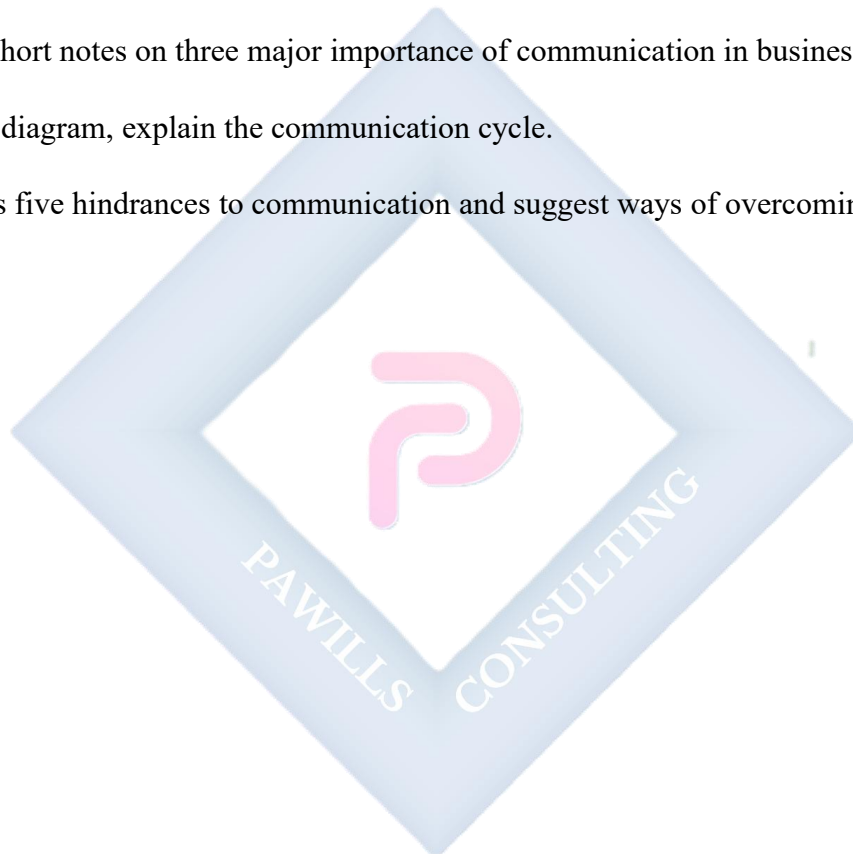
EVALUATION

1. Define communication in your own words.

2. Mention five characteristics of communication.
3. State and explain the seven stages in the communication process.
4. Identify four hindrances to effective communication.
5. Differentiate between encoding and decoding in communication.

ASSIGNMENT

1. Write short notes on three major importance of communication in business.
2. With a diagram, explain the communication cycle.
3. Discuss five hindrances to communication and suggest ways of overcoming them.



WEEK 8: COMMUNICATION (PART 2)

Communication is a **core function in business**, as it enables the flow of information, instructions, and ideas between individuals, groups, and organizations. Effective communication ensures that business operations run smoothly, decisions are implemented correctly, and goals are achieved.

This lesson focuses on **methods of communication and its importance to business**.



METHODS OF BUSINESS COMMUNICATION:

- **A. Oral Communication:**
 - Involves **spoken words** to convey messages.

- Examples: face-to-face meetings, telephone conversations, video calls, speeches, presentations.
- Advantages: immediate feedback, personal touch, and clarification of misunderstandings.
- Limitations: messages may be forgotten, misinterpreted, or distorted.
- **B. Written Communication:**
 - Involves **written messages** transmitted through letters, memos, reports, emails, or notices.
 - Advantages: provides a permanent record, can be referred to later, ensures clarity.
 - Limitations: may be time-consuming and lacks immediate feedback.
- **C. Visual Communication:**
 - Uses **graphs, charts, diagrams, maps, photographs, and videos** to convey information.
 - Advantages: simplifies complex information, easy to understand, and appealing.
 - Limitations: may require explanation, may not convey detailed information.
- **D. Non-verbal Communication:**
 - Communication through **body language, gestures, facial expressions, posture, and tone of voice**.
 - Advantages: complements verbal communication, conveys emotions and attitudes.
 - Limitations: may be misinterpreted or culturally sensitive.
- **E. Electronic Communication:**
 - Uses **modern technologies** such as social media, teleconferencing, emails, and business apps.
 - Advantages: fast, cost-effective, and enables communication across distances.

- Limitations: may lack personal touch, subject to technical failures.

IMPORTANCE OF COMMUNICATION TO BUSINESS:

- **Facilitates Decision-Making:** Ensures managers and employees receive accurate information for informed decisions.
- **Promotes Efficiency:** Reduces misunderstandings, errors, and duplication of work.
- **Enhances Coordination:** Connects different departments and employees to achieve business objectives.
- **Strengthens Customer Relations:** Clear communication improves customer service and satisfaction.
- **Supports Motivation:** Timely feedback, instructions, and appreciation boost employee morale.
- **Encourages Innovation:** Sharing ideas through effective communication promotes creativity and problem-solving.

EVALUATION:

1. List and describe four methods of communication used in business.
2. Explain how oral and written communication differ in their advantages and limitations.
3. Discuss three ways effective communication improves business efficiency.
4. Why is electronic communication important in modern business?

ASSIGNMENT:

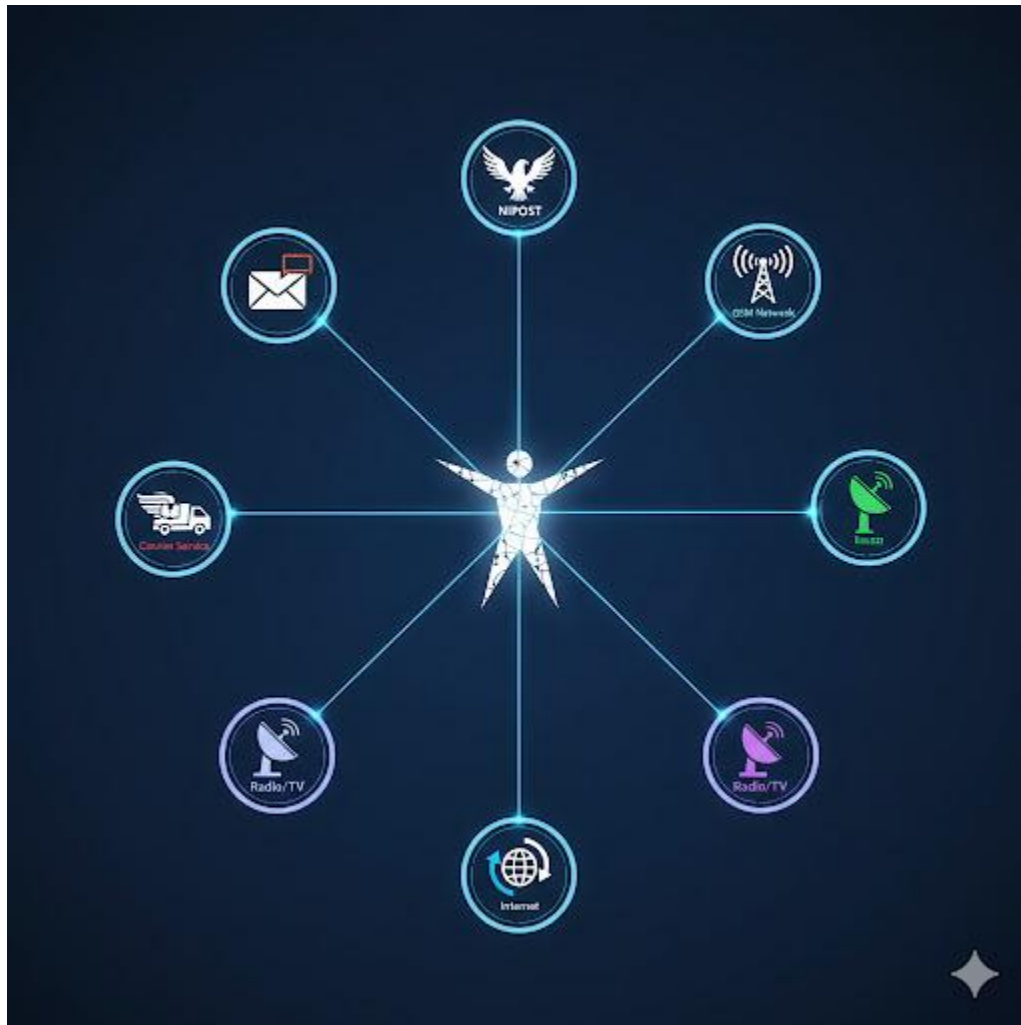
1. Prepare a table showing **methods of communication, examples, advantages, and limitations.**
2. Write a short essay (200–250 words) on the importance of effective communication in a business organization.

3. Conduct a class survey on the most preferred method of communication in your school and explain why it is preferred.



WEEK 9: COMMUNICATION (PART 3)

Agencies of communication and their services; the internet; GSM



AGENCIES OF COMMUNICATION AND THEIR SERVICES

Communication agencies are organizations that provide means through which information is transmitted from one person or place to another. They include:

1. POSTAL SERVICES (NIPOST – Nigerian Postal Service)

- Handles the delivery of letters, parcels, and packages.
- Provides services like registered mail, express mail service (EMS), post office boxes, and money orders.

2. COURIER SERVICES

- Private companies such as DHL, UPS, FedEx, GIG Logistics, etc.
- Offer fast and secure delivery of documents and goods, both locally and internationally.

3. RADIO AND TELEVISION BROADCASTING HOUSES

- Disseminate information, news, entertainment, and education to a wide audience.
- Examples: Nigerian Television Authority (NTA), Channels TV, Wazobia FM.

4. NEWSPAPER AND MAGAZINE HOUSES

- Agencies like The Punch, The Guardian, Daily Trust, etc.
- Provide written information, news, opinions, and advertisements to the public.

5. TELECOMMUNICATION COMPANIES

- Examples: MTN, GLO, Airtel, 9mobile.
- Provide mobile communication services, internet access, voice calls, and SMS.

6. INTERNET SERVICE PROVIDERS (ISPs)

- Provide internet connectivity for browsing, emailing, streaming, and online communication.
- Examples: Spectranet, Smile, Starlink.

7. SOCIAL MEDIA PLATFORMS

- Facebook, WhatsApp, Instagram, X (Twitter), TikTok, etc.
- Enable instant global communication, interaction, and information sharing.

THE INTERNET

- **Meaning:**

The internet is a global network of interconnected computers that allows the exchange of information worldwide.

- **Uses of the Internet:**

1. Sending and receiving emails.
2. Online banking and financial transactions.
3. Research and learning through search engines like Google.
4. Social networking (WhatsApp, Facebook, Instagram).
5. Business transactions (e-commerce, online shopping).
6. Entertainment (music, movies, games).
7. Cloud storage and data backup.

- **Advantages of the Internet:**

- Fast access to information.
- Enhances global communication.
- Creates job opportunities (e.g., digital marketing, content creation).
- Encourages online education and remote learning.

- **Disadvantages of the Internet:**

- Exposure to cybercrime (hacking, scams).
- Spread of fake news and harmful content.
- Internet addiction and distraction.
- High cost of data in some regions.

GSM (GLOBAL SYSTEM FOR MOBILE COMMUNICATION)

- **Meaning:**

GSM is a digital mobile communication system that enables mobile phone users to make calls, send SMS, and access mobile internet.

- **Services of GSM:**

1. Voice calls (local and international).
2. Text messaging (SMS).
3. Multimedia messaging (MMS).
4. Mobile internet browsing.
5. Mobile money transfers and online banking.
6. Conference calls.
7. Entertainment services (caller tunes, ringtones, etc.).

- **Advantages of GSM:**

- Easy and fast communication.
- Portable and accessible anywhere with network coverage.
- Provides internet services and access to social media.
- Supports business transactions and e-commerce.

- **Disadvantages of GSM:**

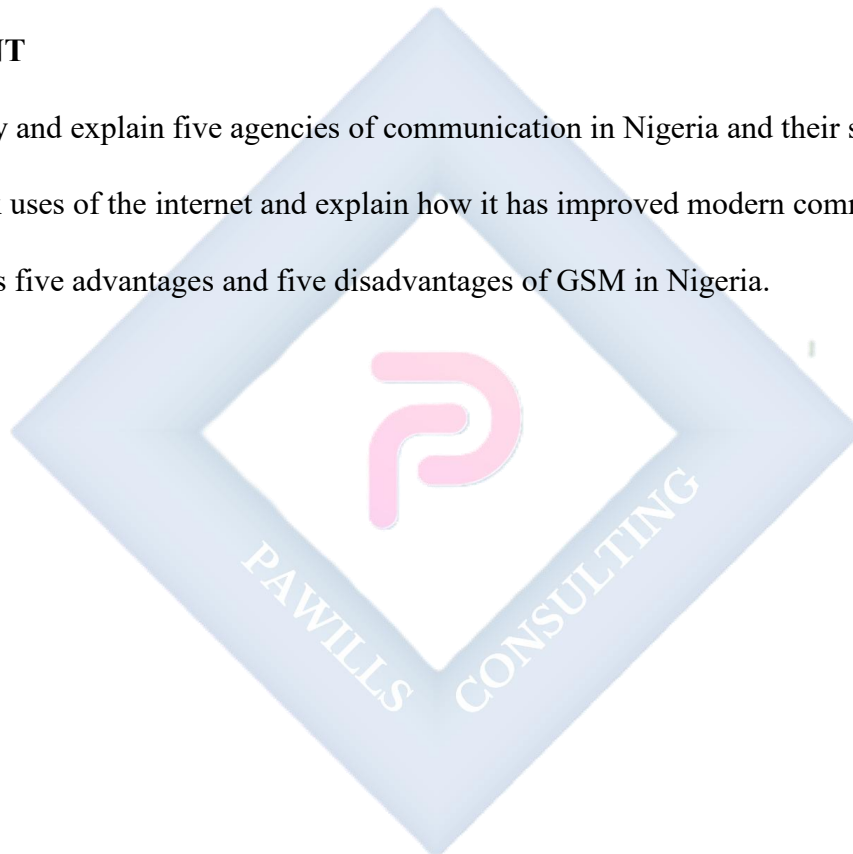
- Call drops and network failures.
- High cost of airtime and data.
- Encourages exam malpractice through cheating with phones.
- Exposure to fraud, scams, and cyberbullying.

EVALUATION

1. Define communication agencies and give three examples.
2. State four services rendered by the Nigerian Postal Service (NIPOST).
3. List five uses of the internet.
4. Mention three services of GSM.
5. Explain two disadvantages of the internet and GSM.

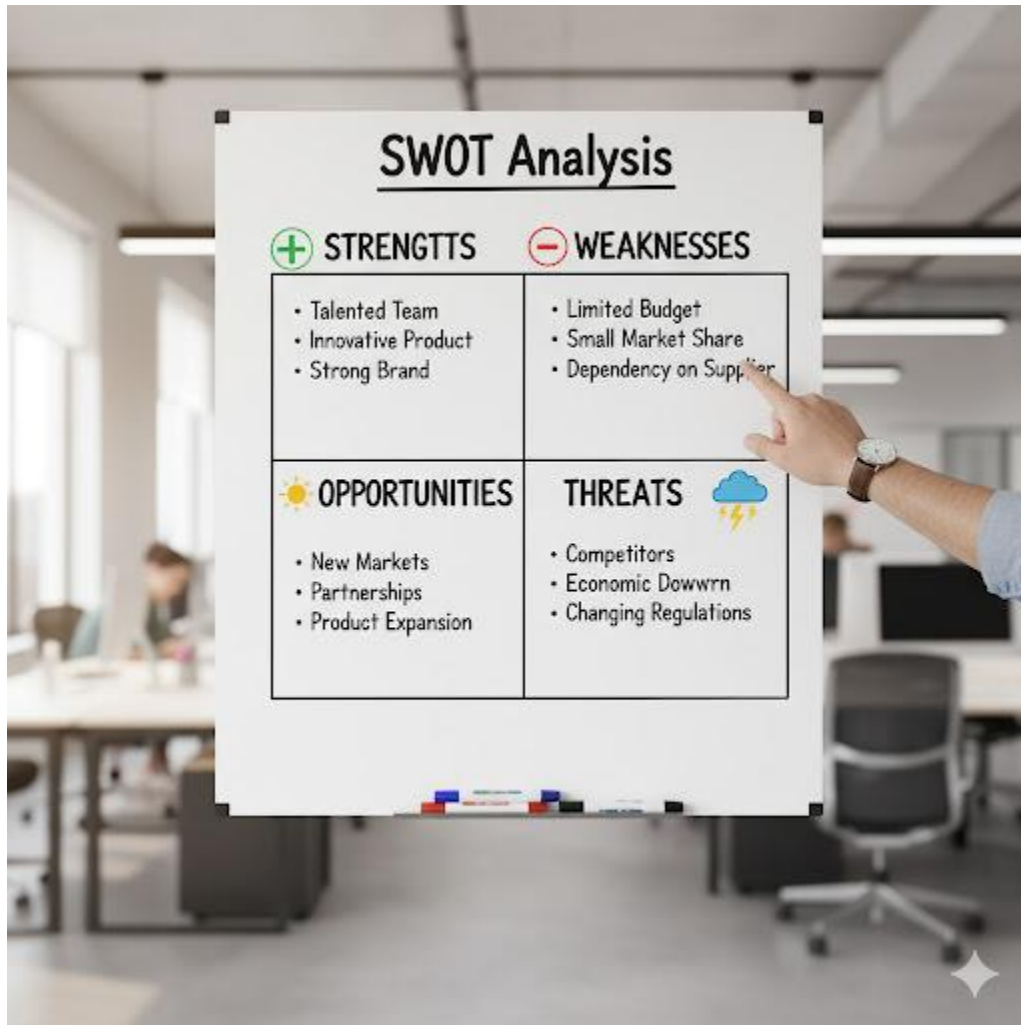
ASSIGNMENT

1. Identify and explain five agencies of communication in Nigeria and their services.
2. List six uses of the internet and explain how it has improved modern communication.
3. Discuss five advantages and five disadvantages of GSM in Nigeria.



WEEK 10: SETTING SIMPLE BUSINESS GOALS

Difference between goals and objectives; SWOT analysis; strengths, weaknesses, opportunities, threats



MEANING OF BUSINESS GOALS AND OBJECTIVES

- **Business Goals:**
 - Broad, long-term targets that a business wants to achieve.
 - Goals give direction and purpose to the business.
 - Example: “To become the leading provider of quality stationery in our town.”
- **Business Objectives:**

- Specific, short-term, measurable steps taken to achieve business goals.
 - Objectives are more precise and time-bound.
 - Example: “To increase stationery sales by 15% within six months.”
- **Difference Between Goals and Objectives:**
1. Goals are broad; objectives are specific.
 2. Goals are long-term; objectives are short-term.
 3. Goals are general statements; objectives are measurable targets.
 4. Objectives help achieve goals.

SWOT ANALYSIS

- **SWOT Analysis** is a tool used by businesses to evaluate their **Strengths, Weaknesses, Opportunities, and Threats**.
- It helps businesses make informed decisions, plan strategies, and set realistic goals.

1. Strengths (Internal)

- Positive attributes and resources the business possesses.
- Examples: skilled workforce, good location, strong brand, financial resources, loyal customers.
- Importance: Helps the business take advantage of opportunities and gain a competitive edge.

2. Weaknesses (Internal)

- Limitations or challenges within the business that may hinder growth.
- Examples: poor management, outdated technology, low capital, limited market reach.
- Importance: Identifying weaknesses allows the business to improve and minimize risks.

3. Opportunities (External)

- External factors or situations that the business can exploit to grow.
- Examples: emerging markets, new technology, government incentives, changing customer preferences.
- Importance: Seizing opportunities helps the business expand and increase profits.

4. Threats (External)

- External challenges or risks that may negatively affect the business.
- Examples: competition, economic downturn, changes in regulations, natural disasters.
- Importance: Recognizing threats helps the business prepare strategies to mitigate risks.

IMPORTANCE OF SETTING BUSINESS GOALS

1. Provides direction and focus for business activities.
2. Helps measure progress and performance.
3. Motivates owners and employees to achieve targets.
4. Encourages better decision-making and resource allocation.
5. Improves competitiveness and long-term growth.
6. Helps identify challenges and opportunities in the business environment.

STEPS IN SETTING BUSINESS GOALS

1. Conduct a **SWOT analysis** to understand internal and external factors.
2. Define clear and achievable **goals**.
3. Break down goals into **specific objectives**.
4. Allocate resources and responsibilities to achieve objectives.

5. Monitor progress and make adjustments as needed.
6. Review and set new goals periodically.

EVALUATION

1. Differentiate between business goals and objectives.
2. What is SWOT analysis, and why is it important?
3. List two examples each of strengths, weaknesses, opportunities, and threats.
4. Explain three benefits of setting business goals.
5. Outline the steps in setting business goals.

ASSIGNMENT

1. Conduct a SWOT analysis for a small business in your community (e.g., a bakery, provision store, or fashion shop).
2. Write five short-term objectives for a business of your choice.
3. Explain how setting goals and objectives can help a business grow and remain competitive.

JSS 3 BUSINESS STUDIES LESSON NOTES

THIRD TERM

Week	Topic	Content
1	Business Plans (Part 1)	Meaning of a business plan; importance of a business plan.
2	Business Plans (Part 2)	Procedure for drawing up a simple business plan; format of a business plan.
3	Consumer Protection (Part 1)	Meaning; need for consumer protection; agencies and their roles.
4	Consumer Protection (Part 2)	Responsibilities of consumers; universal rights of consumers; instruments of consumer protection.
5	Midterm Examination	—
6	Consumer Protection (Part 3)	Complaints: meaning; justified vs unjustified complaints; steps in lodging complaints; writing a letter of complaint.
7	Midterm Break	—
8	Consumer Protection (Part 4)	Reasons for banning/restricting harmful chemicals; procedure for banning chemicals; seeking redress.
9	Personal Finance	Meaning; sources of finance for individuals; needs and wants; scale of preference; modesty and its effects.
10	Bookkeeping and Business Success	Trial balance (meaning, uses, items, preparation); Trading, Profit and Loss accounts (meaning, purpose, preparation); Balance sheet (meaning, uses, contents, preparation).
11	Revision	Weeks 1–10 topics.
12	Examination	—

13	Closing	—
----	----------------	---



WEEK 1: BUSINESS PLANS (PART 1)



A business plan is a **detailed document that outlines the objectives, strategies, and operational plans of a business**. It serves as a **roadmap for business success**, guiding entrepreneurs in organizing resources, managing operations, and attracting investors. Understanding business plans is crucial for students to develop **entrepreneurial skills and sound business decision-making**.

MEANING OF A BUSINESS PLAN:

- A business plan is a **written description of a business, its goals, and the strategies to achieve them**.

- It explains what the business intends to do, how it will operate, and how it will **achieve profitability and growth**.
- Business plans are used for **internal guidance**, securing loans, or attracting investors.

Key points:

- It includes the **business idea, mission, objectives, target market, marketing strategies, operational plan, financial plan, and projected outcomes**.
- A good business plan provides a **clear picture of the business** to stakeholders.
- It is a **living document** that can be updated as the business grows or as circumstances change.

IMPORTANCE OF A BUSINESS PLAN:

A business plan is important for several reasons:

- **Guides Business Operations:**
 - Provides a **step-by-step plan** for achieving business objectives.
 - Helps management organize resources efficiently.
- **Facilitates Financial Planning:**
 - Shows projected **income, expenses, and profits**, aiding budgeting and resource allocation.
 - Helps in securing **loans, grants, or investments** from banks or investors.
- **Identifies Opportunities and Risks:**
 - Encourages entrepreneurs to **analyze the market, competition, and potential challenges**.
 - Enables proactive strategies to **mitigate risks**.
- **Improves Decision-Making:**

- Provides reliable information for making **strategic, marketing, and operational decisions.**
- **Measures Progress:**
 - Acts as a benchmark to **evaluate performance** and ensure goals are being met.
- **Enhances Credibility:**
 - Demonstrates professionalism and commitment to stakeholders, including **investors, employees, and partners.**

EVALUATION:

1. Define a business plan in your own words.
2. List four components commonly found in a business plan.
3. Explain three reasons why a business plan is important.
4. How does a business plan help in risk management?

ASSIGNMENT:

1. Write a short essay (200 words) explaining the importance of a business plan to a small business owner.
2. Prepare a table showing at least five key components of a business plan and their functions.
3. Discuss in two paragraphs how a business plan can help attract investors or secure loans.

WEEK 2: BUSINESS PLANS (PART 2)

Procedure for drawing up a simple business plan; format of a business plan



INTRODUCTION

- A **business plan** is a written document that describes the nature of a business, its objectives, strategies, target market, and financial forecasts.
- It serves as a **roadmap** for entrepreneurs and is also useful in convincing investors, banks, or partners to support the business.
- In this lesson, we will study:
 1. The **procedure for drawing up a simple business plan.**

2. The format of a business plan.

PROCEDURE FOR DRAWING UP A SIMPLE BUSINESS PLAN

When preparing a business plan, certain steps must be followed to ensure it is logical, clear, and complete:

1. Identify the Business Idea

- Decide what kind of business you want to start (e.g., bakery, tailoring, ICT services, poultry farming).
- The idea should solve a problem or meet a need.

2. Conduct Market Research

- Study the demand for your product/service.
- Identify your target customers and competitors.
- Gather information on prices, market trends, and consumer preferences.

3. Define Business Objectives

- State what the business intends to achieve (e.g., profit-making, job creation, providing affordable goods).
- Objectives should be **SMART** (Specific, Measurable, Achievable, Realistic, Time-bound).

4. Decide on the Business Structure

- Choose whether it will be a sole proprietorship, partnership, cooperative, or company.

5. Plan for Resources

- Identify the required resources such as capital, labour, equipment, raw materials, and technology.

6. Prepare Financial Estimates

- Estimate start-up costs (capital requirements).
- Project income, expenses, and expected profit.

7. Prepare Marketing Strategy

- Decide how the product will be advertised, distributed, and sold.
- Include pricing strategy and promotional methods.

8. Write the Business Plan Document

- Put together all the findings in a clear written format.
- The plan must be neat, logical, and convincing.

FORMAT OF A BUSINESS PLAN

A standard business plan usually contains the following sections:

1. Title Page

- Contains the business name, address, logo (if any), name of the owner, and date.

2. Table of Contents

- Lists the sections of the plan for easy reference.

3. Executive Summary

- A brief overview of the entire business plan.
- Includes the business idea, mission, target market, and summary of financial needs.

4. Description of the Business

- Type of business (e.g., service, trading, manufacturing, agricultural).
- Products or services to be offered.

- The vision and mission statements.

5. Market Analysis

- Information about the industry, competitors, target customers, and market trends.

6. Organization and Management

- The business structure and ownership.
- Key staff and their roles.
- Management plan.

7. Products or Services

- Detailed description of the goods or services.
- Unique features and benefits to customers.

8. Marketing and Sales Strategy

- Advertising methods, pricing strategy, distribution channels, sales promotion, etc.

9. Operational Plan

- Daily activities and processes.
- Location of the business and facilities needed.

10. Financial Plan

- Start-up capital required.
- Cash flow forecast.
- Profit and loss projection.
- Break-even analysis.

11. Appendices

- Supporting documents (licenses, charts, maps, CVs, or agreements).

EVALUATION

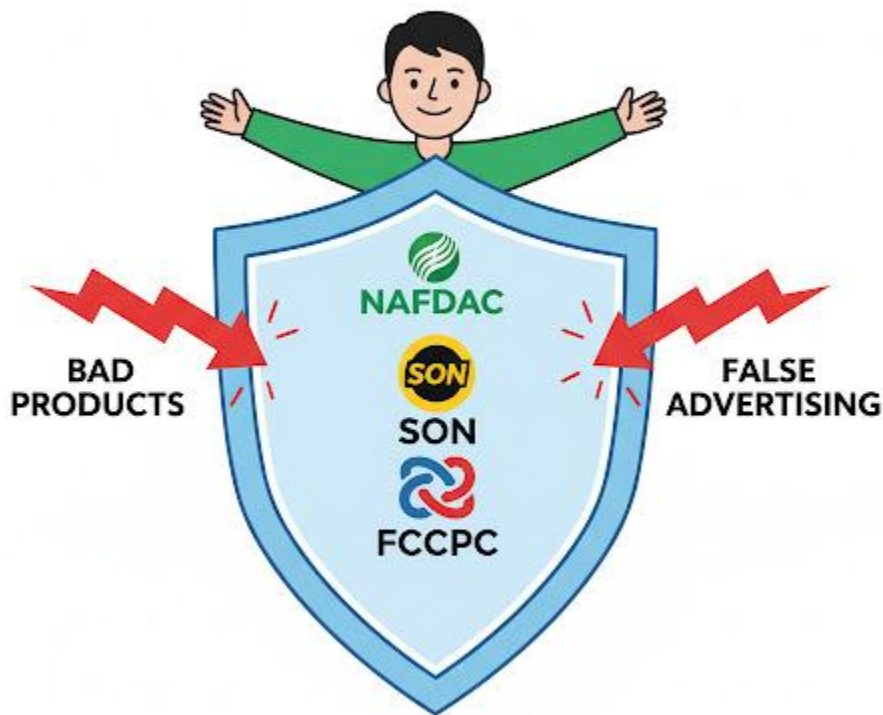
1. Define a business plan.
2. List and explain four procedures involved in drawing up a simple business plan.
3. Mention five major sections of a business plan format.
4. State two reasons why a business plan is important.

ASSIGNMENT

1. Write out the **eight steps** you would follow if you were preparing a business plan for a poultry farm.
2. Using the **format of a business plan**, draft a simple outline for a tailoring business in your community.
3. Explain in detail the meaning and importance of the following parts of a business plan:
 - a. Executive Summary
 - b. Market Analysis
 - c. Financial Plan

WEEK 3: CONSUMER PROTECTION (PART 1)

Meaning; need for consumer protection; agencies and their roles



MEANING OF CONSUMER PROTECTION

- A **consumer** is a person who buys or uses goods and services to satisfy personal needs.
- **Consumer protection** refers to the laws, policies, and measures put in place by government, organizations, and society to safeguard the rights and interests of consumers against exploitation by producers, sellers, or service providers.
- It ensures that consumers are not cheated, misled, or exposed to harmful products in the marketplace.

Examples:

- Ensuring expired drugs are not sold in pharmacies.
- Ensuring correct weights and measures are used in markets.
- Protecting consumers from fake or substandard electrical appliances.

NEED FOR CONSUMER PROTECTION

1. **To Prevent Exploitation:** Some producers and sellers may overcharge consumers or provide poor quality goods.
2. **To Protect Health and Safety:** Substandard or expired goods (e.g., drugs, food) can endanger lives; protection ensures safe products.
3. **To Ensure Value for Money:** Consumers should get quality and quantity that correspond to what they pay for.
4. **To Check False Advertising:** Some adverts mislead customers with exaggerated claims; protection ensures honesty.
5. **To Encourage Fair Trade Practices:** It creates a fair business environment where producers compete honestly.
6. **To Protect Rights of Consumers:** Rights such as the right to safety, right to information, right to choose, and right to redress are upheld.
7. **To Build Consumer Confidence:** Protection makes buyers more confident to purchase goods and services.
8. **To Promote National Development:** When consumers are protected, demand increases, which helps the economy grow.

AGENCIES OF CONSUMER PROTECTION AND THEIR ROLES

1. Standards Organisation of Nigeria (SON)

- Ensures products meet minimum quality standards.
- Prevents the circulation of fake and substandard goods.
- Conducts product testing and certification.

2. National Agency for Food and Drug Administration and Control (NAFDAC)

- Regulates and controls food, drugs, cosmetics, medical devices, and packaged water.
- Bans fake and harmful consumables from entering the market.
- Conducts inspections of factories and products.

3. Consumer Protection Council (CPC) (now merged into FCCPC – Federal Competition and Consumer Protection Commission)

- Educates consumers on their rights.
- Receives complaints from consumers and investigates them.
- Provides redress (compensation or replacement) for cheated consumers.

4. Federal Competition and Consumer Protection Commission (FCCPC)

- Promotes fair competition among businesses.
- Protects consumers from unfair trade practices.
- Ensures compliance with consumer protection laws.

5. National Broadcasting Commission (NBC)

- Monitors and regulates adverts on radio and television.
- Ensures adverts are truthful, decent, and not misleading.

6. Nigerian Civil Aviation Authority (NCAA)

- Protects air travelers by ensuring safety and quality services.
- Monitors airline charges, schedules, and compensation in cases of flight delays/cancellations.

7. Nigerian Communications Commission (NCC)

- Protects telephone and internet subscribers.
- Ensures fair billing and quality service from telecom companies.

8. Food Inspection Units (at Local Government Level)

- Inspect markets, shops, and restaurants to ensure hygiene and safe food for consumption.

EVALUATION

1. Define consumer protection.
2. State and explain five reasons why consumer protection is necessary.
3. List four consumer protection agencies and their roles.
4. Differentiate between NAFDAC and SON in terms of their consumer protection roles.
5. Mention two ways the Consumer Protection Council helps the public.

ASSIGNMENT

1. Write in detail the meaning of consumer protection and give two practical examples.
2. State and explain six needs for consumer protection in Nigeria.
3. List six agencies of consumer protection and explain their roles in safeguarding consumers.

WEEK 4: CONSUMER PROTECTION (PART 2)

Responsibilities of consumers; universal rights of consumers; instruments of consumer protection



RESPONSIBILITIES OF CONSUMERS

- Consumers are not only entitled to rights but also have responsibilities to ensure fair trade and efficient market practices.
- **Key responsibilities include:**
 1. **Being Honest:** Provide correct information when purchasing goods or services.

2. **Using Goods Properly:** Follow instructions and handle products responsibly to avoid damage.
3. **Paying for Goods and Services Promptly:** Fulfill financial obligations to suppliers and service providers.
4. **Keeping Records of Transactions:** Maintain receipts and warranties for claims or disputes.
5. **Being Vigilant:** Inspect goods and check for expiry dates, quality, and authenticity before purchase.
6. **Reporting Violations:** Report faulty products, overpricing, or unethical business practices to consumer protection agencies.
7. **Respecting the Rights of Others:** Do not misuse or damage goods that belong to others.

UNIVERSAL RIGHTS OF CONSUMERS

- Consumers have **basic rights** recognized globally to protect them from exploitation.
1. **Right to Safety:** Protection from harmful goods and services.
 2. **Right to Information:** Access to correct information about products, including prices, ingredients, and usage.
 3. **Right to Choose:** Ability to select from a variety of goods and services at competitive prices.
 4. **Right to be Heard:** Ability to voice complaints and have them addressed by manufacturers, sellers, and regulators.
 5. **Right to Redress:** Compensation or replacement for defective goods or unsatisfactory services.
 6. **Right to Consumer Education:** Knowledge about consumer rights and responsibilities.

7. **Right to a Healthy Environment:** Protection from products or services that pollute or harm the environment.

INSTRUMENTS OF CONSUMER PROTECTION

- Instruments are tools, policies, or agencies that ensure consumers are protected.
1. **Consumer Protection Councils (CPC):**
 - Established by governments to safeguard consumer interests, resolve disputes, and enforce standards.
 2. **Standards Organization of Nigeria (SON):**
 - Ensures products meet quality and safety standards.
 3. **Consumer Complaints and Redress Forums:**
 - Platforms where consumers can report violations and seek compensation.
 4. **Legislation and Laws:**
 - Laws such as the Consumer Protection Council Act provide legal frameworks for consumer rights.
 5. **Labeling and Packaging Regulations:**
 - Ensures goods are properly labeled with correct information on ingredients, usage, and safety.
 6. **Trade Unions and Associations:**
 - Support collective consumer action and advocacy for fair business practices.
 7. **Education and Awareness Campaigns:**
 - Government and NGOs run programs to educate consumers on their rights and responsibilities.

IMPORTANCE OF CONSUMER PROTECTION

1. Safeguards consumers from exploitation, fraud, and substandard products.
2. Promotes fair trade and ethical business practices.
3. Encourages businesses to maintain high standards of quality.
4. Enhances consumer confidence and satisfaction.
5. Reduces disputes and litigation between consumers and sellers.
6. Contributes to economic stability and development.

EVALUATION

1. List four responsibilities of consumers.
2. Mention five universal rights of consumers and briefly explain each.
3. Identify and explain three instruments used for consumer protection in Nigeria.
4. Why is consumer protection important to both businesses and consumers?
5. Differentiate between the right to safety and the right to redress.

ASSIGNMENT

1. Write an essay on: “The Role of Consumer Protection in Ensuring Fair Trade in Nigeria.”
2. Interview a shop owner or market trader and list three ways they ensure consumers’ rights are respected.
3. Research and list five products that have been recalled in Nigeria due to safety concerns and explain the reason for each.

WEEK 6: CONSUMER PROTECTION (PART 3)

Complaints – meaning; justified vs unjustified complaints; steps in lodging complaints; writing a letter of complaint



MEANING OF COMPLAINTS

A **complaint** is an expression of dissatisfaction or unhappiness made by a consumer when the goods or services received are not up to the expected standard or when the consumer's rights are violated. Complaints may be directed to the seller, producer, service provider, or even consumer protection agencies.

Complaints are an important part of consumer protection because they alert businesses to problems with their goods or services and help ensure that consumers receive fair treatment.

JUSTIFIED VS UNJUSTIFIED COMPLAINTS

1. **Justified Complaints**

These are genuine complaints made by consumers when they do not get the value for their money. Such complaints are valid and should be addressed.

Examples:

- Buying an expired product.
- Purchasing a defective item (e.g., a phone that does not switch on).
- Being overcharged for a product or service.
- Receiving a service that is below the promised standard (e.g., poor hotel accommodation despite paying full price).

2. **Unjustified Complaints**

These are complaints made by consumers that are not valid, often due to ignorance, misuse of products, or unrealistic expectations.

Examples:

- Complaining that a product did not last forever when it was designed for limited use.
- Complaining about a service without reading or understanding the terms and conditions.
- Damaging a product through careless use and blaming the seller.

STEPS IN LODGING COMPLAINTS

When a consumer has a genuine complaint, the following steps should be taken to ensure it is properly addressed:

1. **Identify the problem** – The consumer should be clear about the defect or issue with the product or service.

2. **Gather evidence** – Keep receipts, warranty cards, packaging, or any other proof of purchase.
3. **Approach the seller** – Start by reporting the problem politely to the seller or service provider.
4. **Be clear and firm** – State exactly what went wrong and what remedy is expected (e.g., refund, repair, or replacement).
5. **Escalate the complaint** – If the seller does not respond, report to higher authorities such as the Consumer Protection Council, Standards Organisation of Nigeria (SON), or other regulatory agencies.
6. **Write a formal complaint** – If verbal complaints fail, write a letter of complaint stating all necessary details.
7. **Seek legal action as a last resort** – If all else fails, the consumer may seek redress in a law court.

WRITING A LETTER OF COMPLAINT

A **letter of complaint** is a formal letter written by a consumer to a seller, producer, or consumer protection agency to report a problem with goods or services purchased. It must be clear, polite, and provide all necessary information.

Features of a letter of complaint:

1. Consumer's address and date.
2. Recipient's address.
3. Salutation (Dear Sir/Madam).
4. Heading or subject line (e.g., *Complaint about Defective Refrigerator*).
5. Introduction (state the purpose of writing).

6. Body (describe the product/service, date of purchase, nature of the complaint, and evidence).
7. Request for remedy (refund, replacement, or repair).
8. Conclusion (polite closing remark).
9. Signature and full name.

SAMPLE LETTER OF COMPLAINT

No. 12 Adewale Street,
Ikeja, Lagos.
15th June, 2023.

The Manager,
ABC Electronics Ltd,
Ikeja, Lagos.

Dear Sir,

Complaint about Defective Television Set

I am writing to formally complain about a 32-inch Samsung television set which I purchased from your store on 10th June 2023 with receipt number 4589.

Upon installation, I discovered that the television does not come on despite several attempts. The technician confirmed that the set is faulty. I have attached a copy of my receipt as evidence of purchase.

I therefore request that the television be replaced with a new one or a full refund made to me within seven (7) days.

Thank you for your prompt attention to this matter.

Yours faithfully,

[Signature]

Chinedu Okeke

SUMMARY

A complaint is a way for consumers to express dissatisfaction with goods or services. Complaints can be justified (valid) or unjustified (invalid). To lodge a complaint, consumers must identify the problem, keep evidence, report politely to the seller, escalate when necessary, and write a letter of complaint if verbal resolution fails.

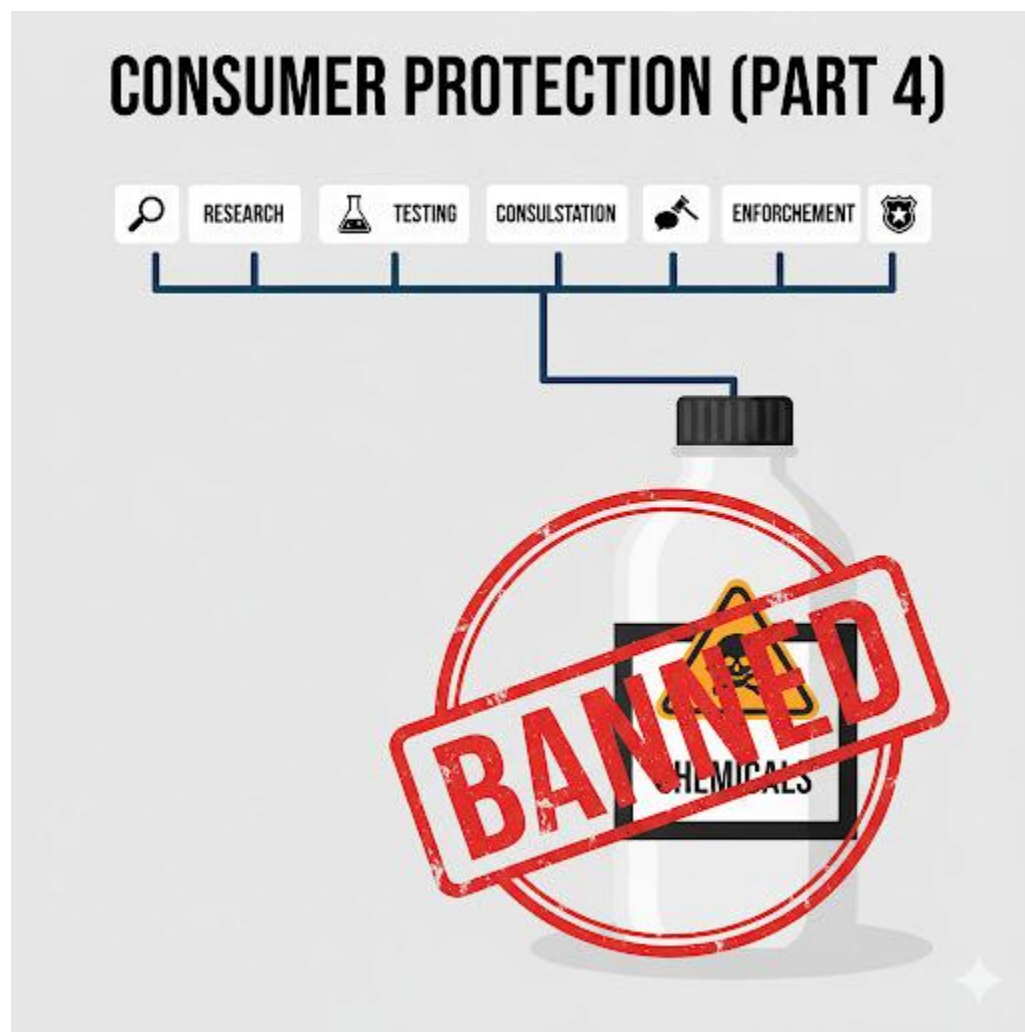
EVALUATION

1. Define a complaint.
2. Distinguish between justified and unjustified complaints with two examples each.
3. Outline five steps a consumer should follow when lodging a complaint.
4. State five features of a formal complaint letter.
5. Why is it important for a consumer to keep receipts?

ASSIGNMENT

1. Write short notes on the difference between justified and unjustified complaints.
2. Draft a complaint letter to a supermarket manager about being sold an expired tin of milk.
3. Explain five steps that should be taken by a consumer before writing a letter of complaint.

WEEK 8: CONSUMER PROTECTION (PART 4)



Consumer protection involves **safeguarding the rights, health, and safety of consumers** against harmful products and unfair business practices. Governments, regulatory agencies, and consumer organizations play a key role in ensuring that products meet safety standards. This lesson focuses on **the reasons for banning or restricting harmful chemicals, the procedure for banning them, and ways consumers can seek redress.**

REASONS FOR BANNING OR RESTRICTING HARMFUL CHEMICALS:

- **Protection of Human Health:**

Some chemicals can cause **serious illnesses, poisoning, or long-term health problems**. Restricting them prevents harm to consumers.

- **Environmental Protection:**

Harmful chemicals can **damage ecosystems, pollute water and soil, and affect wildlife**. Banning them preserves the environment.

- **Ensuring Product Safety:**

Chemicals that compromise the **safety, quality, or usability of products** are banned to protect consumers.

- **Compliance with International Standards:**

Certain chemicals may violate **global safety regulations**, affecting trade and consumer confidence.

- **Preventing Misuse or Accidents:**

Highly toxic or unstable chemicals may lead to **accidental injuries or deaths**, necessitating regulation.

PROCEDURE FOR BANNING HARMFUL CHEMICALS:

- **Research and Identification:**

Regulatory bodies identify chemicals that are **dangerous to health or the environment**.

- **Scientific Testing:**

Chemicals undergo **laboratory tests, risk assessments, and safety evaluations**.

- **Consultation with Stakeholders:**

Government agencies, manufacturers, consumer groups, and scientists provide **input and feedback**.

- **Legislation and Regulation:**

Laws or regulations are enacted to **restrict, ban, or control the use** of harmful chemicals.

- **Implementation and Enforcement:**

Agencies such as **NAFDAC (National Agency for Food and Drug Administration and Control) in Nigeria** enforce bans, conduct inspections, and impose penalties for violations.

- **Public Awareness:**

Consumers and manufacturers are informed through **media campaigns, notices, and product labeling.**

SEEKING REDRESS AS A CONSUMER:

- **Definition:** Redress is the **right of a consumer to claim compensation or correction** when harmed by defective or unsafe products.

- **Ways of Seeking Redress:**

- **Reporting to Regulatory Agencies:** Filing complaints with agencies like **NAFDAC, Consumer Protection Council, or Standards Organization of Nigeria (SON).**
- **Direct Complaint to Manufacturer or Seller:** Requesting **replacement, repair, or refund.**
- **Legal Action:** Taking the matter to **court** for compensation or enforcement of consumer rights.
- **Consumer Associations:** Seeking assistance from consumer rights groups for advice and mediation.

- **Importance of Seeking Redress:**

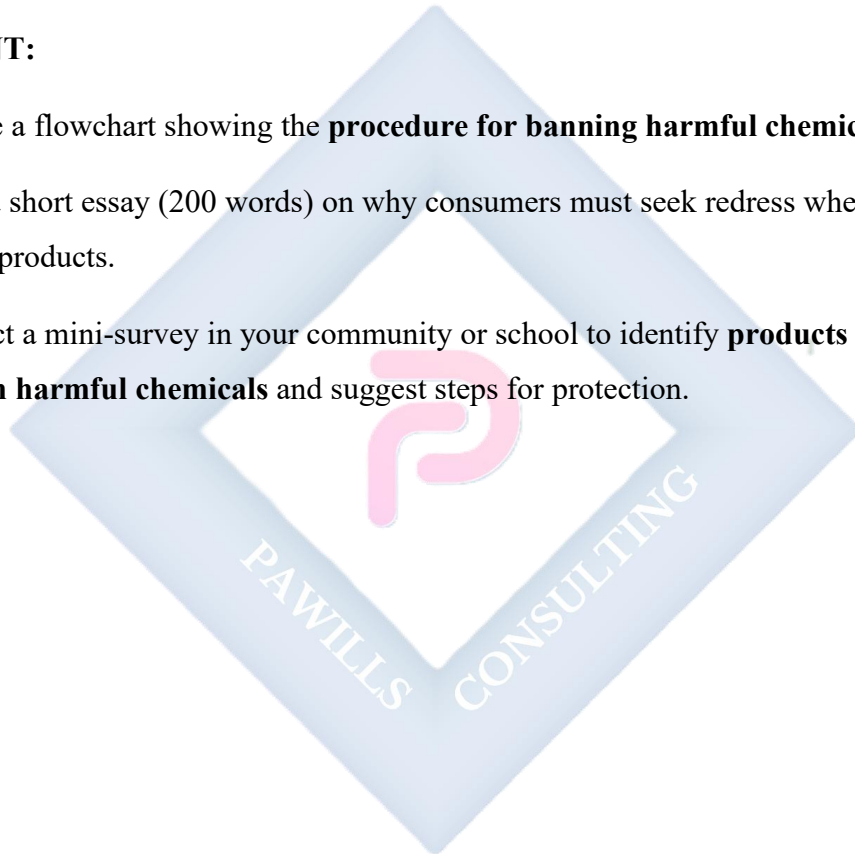
- Protects consumers from further harm
- Promotes accountability among businesses
- Encourages compliance with safety and quality standards

EVALUATION:

1. List four reasons why harmful chemicals may be banned or restricted.
2. Describe the procedure involved in banning harmful chemicals.
3. Explain the concept of consumer redress and list three ways to seek it.
4. Why is consumer protection important for both consumers and businesses?

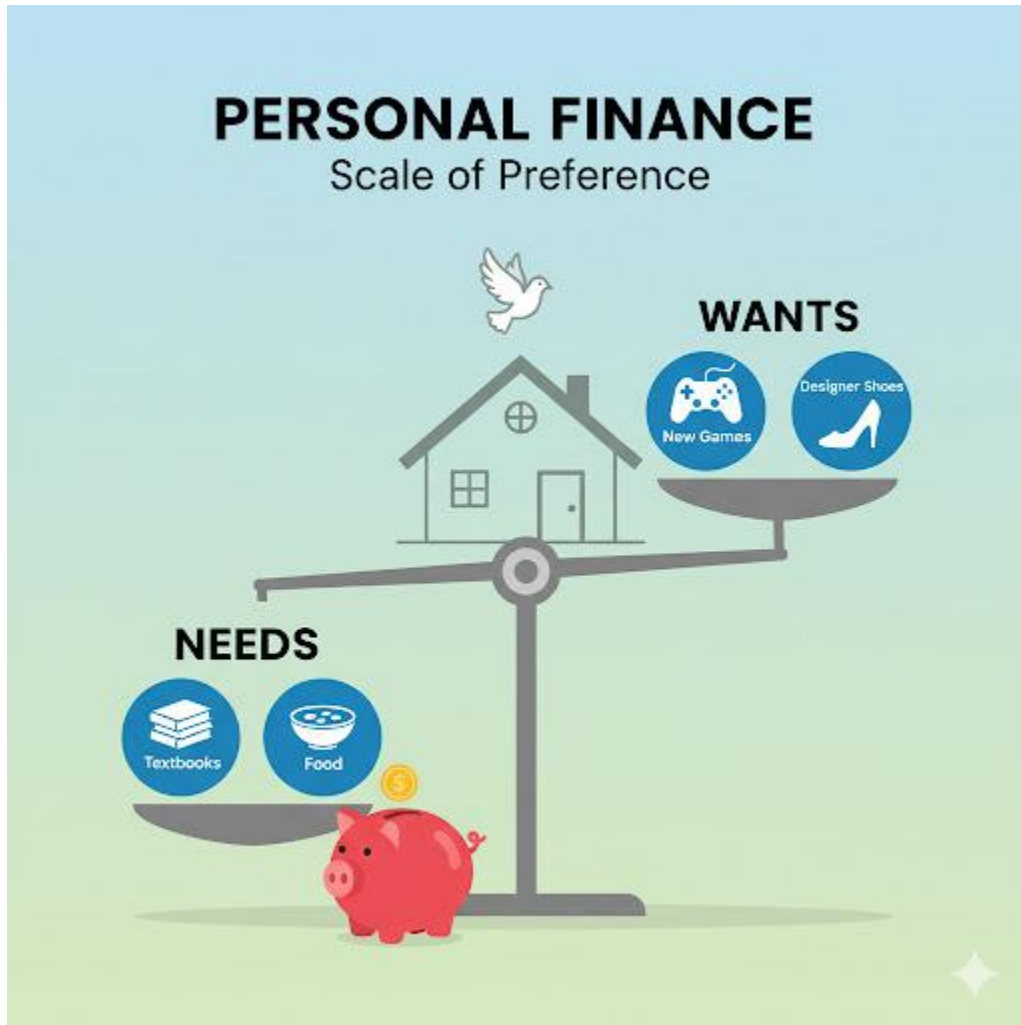
ASSIGNMENT:

1. Prepare a flowchart showing the **procedure for banning harmful chemicals** in Nigeria.
2. Write a short essay (200 words) on why consumers must seek redress when harmed by unsafe products.
3. Conduct a mini-survey in your community or school to identify **products that may contain harmful chemicals** and suggest steps for protection.



WEEK 9: PERSONAL FINANCE

Meaning; sources of finance for individuals; needs and wants; scale of preference; modesty and its effects



MEANING OF PERSONAL FINANCE

- Personal finance refers to the proper planning, management, and control of an individual's money and other financial resources.
- It involves budgeting, saving, investing, borrowing, and spending money wisely to meet personal needs and achieve future goals.
- It also includes financial decision-making about what to buy, how much to save, and how to spend money in a responsible way.

SOURCES OF FINANCE FOR INDIVIDUALS

Individuals can obtain money from various sources for personal or family needs. These include:

1. **Personal Savings** – money set aside from income for future use.
2. **Wages and Salaries** – income earned from paid employment.
3. **Business Profits** – money earned by individuals who own and operate businesses.
4. **Loans from Banks and Microfinance Institutions** – money borrowed with interest to be repaid later.
5. **Family and Friends** – financial support received in times of need.
6. **Gifts and Donations** – money or resources received freely from others.
7. **Investments** – income earned from shares, bonds, mutual funds, or dividends.
8. **Pensions and Retirement Benefits** – money paid to individuals after retirement.
9. **Co-operative Societies** – loans and contributions provided to members.
10. **Government Grants/Scholarships** – financial assistance given to support education, businesses, or personal needs.

NEEDS AND WANTS

- **Needs:**
 - Basic things that are essential for human survival and daily living.
 - Examples: food, water, shelter, clothing, healthcare, and education.
 - Needs are limited in type but continuous in demand.
- **Wants:**
 - Things that are desirable but not essential for survival.
 - Examples: cars, designer clothes, smartphones, luxury holidays.

- Wants are unlimited and often compete with needs for limited financial resources.

SCALE OF PREFERENCE

- **Meaning:**

A scale of preference is a list of an individual's needs and wants arranged in order of importance.

- **Importance:**

1. Helps in making wise financial decisions.
2. Ensures that urgent and basic needs are met before wants.
3. Prevents wasteful spending and encourages savings.
4. Guides individuals when resources are limited.

- **Example:**

If a student has ₦5,000, his scale of preference may be:

1. Purchase of textbooks – ₦3,000
2. Food and snacks – ₦1,500
3. Buying a wristwatch – ₦2,500

Since the money is not enough, the student will choose the first two items (textbooks and food) and leave out the wristwatch (a want).

MODESTY AND ITS EFFECTS

- **Meaning of Modesty:**

Modesty is the quality of being simple, moderate, humble, and not extravagant in spending or lifestyle. It involves living within one's means and avoiding waste.

- **Effects of Modesty:**

1. **Encourages Savings** – modest people spend wisely and save for future needs.

2. **Reduces Debt** – they avoid unnecessary borrowing and financial pressure.
3. **Promotes Contentment** – helps individuals to appreciate what they have.
4. **Improves Financial Stability** – modest living ensures steady growth in personal finance.
5. **Discourages Extravagance** – prevents wasteful spending on wants rather than needs.
6. **Builds Good Reputation** – modest individuals are respected in society.

EVALUATION

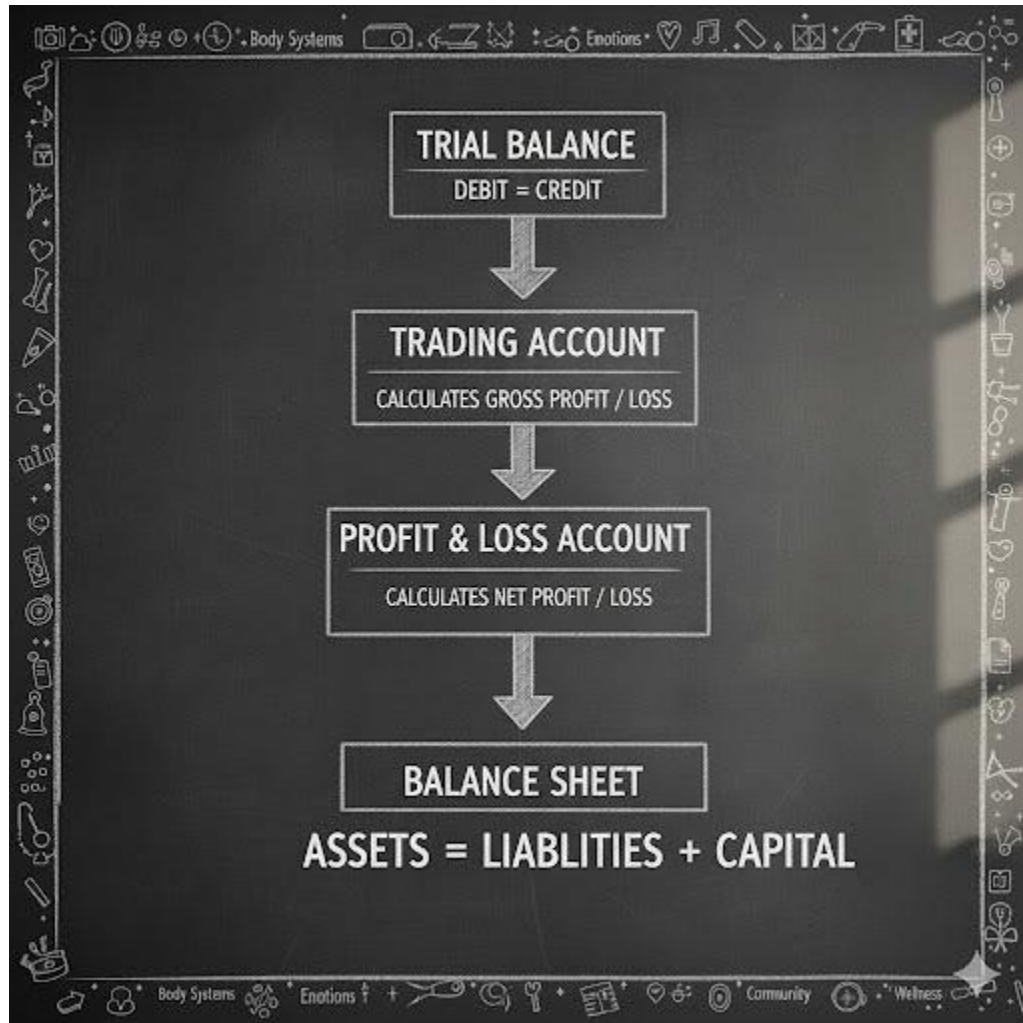
1. Define personal finance.
2. List five sources of finance available to individuals.
3. Differentiate between needs and wants with examples.
4. What is a scale of preference and why is it important?
5. Explain three effects of modesty in personal finance.

ASSIGNMENT

1. Mention and explain six sources of finance for individuals.
2. Draw up a scale of preference for a student who has ₦10,000 but needs to pay school fees (₦7,000), buy sandals (₦3,500), and attend a party (₦2,000). Show which items he will choose and explain why.
3. Discuss five reasons why modesty is important in managing personal finance.

WEEK 10: BOOKKEEPING AND BUSINESS SUCCESS

Trial Balance (Meaning, Uses, Items, Preparation); Trading, Profit And Loss Accounts (Meaning, Purpose, Preparation); Balance Sheet (Meaning, Uses, Contents, Preparation)



MEANING AND IMPORTANCE OF BOOKKEEPING

- **Bookkeeping** is the systematic recording, organizing, and maintenance of all financial transactions of a business.
- Accurate bookkeeping ensures that businesses can track income, expenses, assets, and liabilities.
- **Importance of Bookkeeping to Business Success:**

1. Helps in making informed business decisions.
2. Ensures proper financial control.
3. Provides data for preparing financial statements.
4. Facilitates audits and taxation processes.
5. Helps assess profitability and business performance.

TRIAL BALANCE

- **Meaning:**

- A trial balance is a statement that lists all the balances of ledger accounts at a particular date to check the arithmetical accuracy of bookkeeping entries.

- **Uses of Trial Balance:**

1. Detects errors in ledger accounts.
2. Serves as the basis for preparing financial statements.
3. Helps summarize all ledger balances in one place.
4. Assists in financial planning and decision-making.

- **Items Included in Trial Balance:**

- All ledger account balances, including:
 1. Assets (cash, inventory, equipment)
 2. Liabilities (loans, creditors)
 3. Capital/Owner's Equity
 4. Revenue and income accounts
 5. Expenses and cost accounts

- **Preparation of Trial Balance:**

0. List all ledger account balances in two columns: debit and credit.
1. Total both columns.
2. Ensure that total debits equal total credits.

TRADING ACCOUNT

- **Meaning:**

- The trading account shows the results of buying and selling goods over a period.
- It is prepared to calculate **gross profit** or **gross loss**.

- **Purpose:**

1. To determine the profitability of trading activities.
2. To ascertain gross profit or loss for a period.
3. To provide information for management decisions.

- **Preparation:**

- List **sales revenue** on the credit side.
- List **cost of goods sold (opening stock + purchases – closing stock)** on the debit side.
- $\text{Gross profit} = \text{Sales} - \text{Cost of goods sold}$.

PROFIT AND LOSS ACCOUNT

- **Meaning:**

- Shows the net profit or net loss of a business for a specific period after considering all incomes and expenses.

- **Purpose:**

1. To determine financial performance over a period.
 2. To provide information for taxation and investment decisions.
- **Preparation:**
0. Bring down gross profit from the trading account.
 1. List all **operating expenses** (rent, salaries, utilities) on the debit side.
 2. List all **other incomes** (interest received, commission earned) on the credit side.
 3. $\text{Net profit} = \text{Gross profit} + \text{Other incomes} - \text{Expenses}.$

BALANCE SHEET

- **Meaning:**
 - A balance sheet is a financial statement that shows the **financial position** of a business at a specific date.
- **Uses:**
 1. Determines the financial health of the business.
 2. Shows what the business owns (assets) and owes (liabilities).
 3. Helps in planning, budgeting, and decision-making.
 4. Used by investors, banks, and management for analysis.
- **Contents of a Balance Sheet:**
 0. **Assets:** Current (cash, inventory, debtors) and non-current (land, buildings, machinery).
 1. **Liabilities:** Current (creditors, loans) and long-term (mortgages, bonds).
 2. **Capital/Owner's Equity:** Owner's investment and retained earnings.
- **Preparation:**
 0. List assets on one side and liabilities plus capital on the other.

1. Ensure that **Assets = Liabilities + Capital**.
2. Adjust for net profit or loss from the profit and loss account.

IMPORTANCE OF TRIAL BALANCE, PROFIT & LOSS ACCOUNT, AND BALANCE SHEET TO BUSINESS SUCCESS

- Provides **accurate financial information** for decision-making.
- Helps track profitability, liquidity, and solvency.
- Prevents fraud and financial mismanagement.
- Guides budgeting, investment, and business expansion.
- Enhances accountability and transparency in business operations.

EVALUATION

1. Define bookkeeping and explain its importance to business success.
2. What is a trial balance, and why is it prepared?
3. Differentiate between gross profit and net profit.
4. List three items that appear on a balance sheet.
5. Explain the relationship between trading account, profit & loss account, and balance sheet.

ASSIGNMENT

1. Prepare a simple **trial balance** from the following ledger balances: Cash ₦50,000; Sales ₦120,000; Purchases ₦60,000; Rent ₦10,000; Capital ₦90,000.
2. Draw a **trading account and profit & loss account** for a small business given appropriate figures.

3. Prepare a simple **balance sheet** showing assets, liabilities, and capital based on the results of the profit & loss account.

